

Managing the Offshoring of Audit Work: Spanning the Boundaries Between Onshore and Offshore Auditors

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SUMMARY: The offshoring of external audit work to so-called low-cost countries is prevalent among the Big 4 professional services firms. Despite this, our understanding of how this form of offshoring influences audit practitioners and the audit process is limited. This study examines how and why offshoring emerged as an organizational matter that changed the way audit work is organized in a Big 4 firm context. Our findings demonstrate how changes in the design of offshoring processes influence interactions between onshore and offshore auditors. We uncover how individual “boundary spanners” struggle to coordinate audit work across the multiple boundaries that separate onshore and offshore auditors. Furthermore, we show how the institutionalization of “boundary spanning” functions in organizational structures and processes can have the unintended consequence of widening the boundaries between onshore and offshore auditors. Finally, we offer evidence of the effect of offshoring on the learning process of onshore and offshore auditors.

Keywords: audit; Big 4; boundary spanning; offshoring.

I. INTRODUCTION

Globalization has greatly influenced the accounting and auditing profession (Durocher, Gendron, and Picard 2016). Among other things, it has led to the development of international standards and the rise of global networks of accounting firms (Barrett, Cooper, and Jamal 2005; Durocher et al. 2016). Prior accounting research on globalization has tended to focus on the harmonization of standards and its impact on capital markets, with relatively little attention being afforded to the influence of globalization on audit processes and practices (Durocher et al. 2016). The few studies in this area have examined the challenges of coordinating multinational audits (Barrett et al. 2005; Downey and Bedard 2019; Downey and Westermann 2021), the resilience of small accounting practitioners to the forces of globalization (Durocher et al. 2016), and, more recently, the offshoring of external audit work (Downey 2018; Popova and Wright 2019).

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Recent estimates suggest that the Big 4 professional services firms (hereafter, Big 4 firms) use offshore services to perform between 5 and 20 percent of core financial audit work (Daugherty, Dickins, and Fennema 2012; Downey 2018). This significant use of offshoring by Big 4 firms is driven primarily by a potential increase in economic efficiencies as it allows them to draw from a pool of relatively inexpensive workers (Flood 2018). While the professional practice literature suggests that these inexpensive workers are well-trained and highly educated, regulators have warned of the potential risk associated with offshoring in terms of audit quality. For example, Lewis Ferguson—a former member of the PCAOB (2011–2018)—has argued that “offshoring external audit work for public companies ... raises many, many, many questions about compliance with auditing standards, audit quality [and] the transparency of the audit work to regulators” (Lewis Ferguson cited in Whitehouse 2009, para. 7). Similarly, Helen Munter, a former PCAOB Director of Registration and Inspections (2011–2018), has expressed concerns about the impact of offshoring audit work on the training of audit staff and their ability to exercise professional skepticism:

Offshoring offers great opportunities—as does the advent of new technology. But I ask—how do [audit] firms ensure that staff at all levels and especially those at the early levels are being trained in the most fundamental areas of the audit? How will they develop their professional judgment and experience that is needed to solve complex problems? How will you supervise and train them? We have seen firms struggle with remediating how they supervise and review audit work, how they apply their professional skepticism, and how they audit estimates. These areas pose a lot of risks, many of which are long-term. (Munter 2014)

The PCAOB regulators are not alone in their concerns, with the Financial Reporting Council (FRC) in the United Kingdom mentioning concern over the offshoring of audit work in their audit quality inspection reports. The FRC has warned that “care is needed” in allocating “full sections of the audit” to offshore staff given that they “do not visit the audited entity and, therefore, may not always have the necessary understanding of the specific risks associated with the audited entity” (Financial Reporting Council 2014, 9).

Given the increasing prevalence of offshoring in auditing and the audit quality concerns raised by regulators, it is important to gain a better understanding of its emergence and its associated challenges (Barrett et al. 2005; Hanes 2013). Prior experimental research recognizes that offshoring produces “dynamic” changes in the audit process (Downey 2018; Popova and Wright 2019), but offers little empirical insight into how such changes are experienced by auditors. This study examines how offshoring emerged as a plausible choice in a Big 4 firm based in Europe (code-named EU-TAM¹), changing the way audit work is organized. More specifically, we analyze how EU-TAM sought to achieve the intended consequences and manage the unintended consequences of the decision to offshore some of its audit work to India.

The paper responds to calls for research into the process and the consequences of offshoring audit work (Downey 2018). On a broader level, our findings contribute to research on the nature of audit work in a world “where globalizing discourses increasingly resonate” (Canning, Gendron, and O'Dwyer 2018; Durocher et al. 2016, 70; Power and Gendron 2015). This seeks to offer a better understanding of current developments in the context of audit “as carried out in the field” (Canning et al. 2018, 166), thereby responding to repeated requests to increase the practical and theoretical relevance of management (and auditing) research (Alvesson and Sandberg 2011, 2013; Kieser, Nicolai, and Seidl 2015).

To carry out the investigation, we rely on a case study approach (Cooper and Morgan 2008). We draw on internal and external documentation, digital evidence, and in-depth interviews with “onshore”² audit practitioners to investigate how offshoring has become an organizational matter within EU-TAM and changed the way audit work is structured, managed, and perceived. First, we collected internal documents, such as staff newsletters and online request forms, and digital data, such as e-learning sessions and a webcast on the offshoring process within EU-TAM. Second, we conducted 13 semi-structured interviews with 12 (onshore) auditors who worked in the audit department of EU-TAM and had direct experience with the offshoring of audit work to India.³ Third, we collected an extensive amount of publicly available information on the offshoring of audit work, including: reports published by EU-TAM and other Big 4 firms, job advertisements, business news articles, professional profiles of onshore and offshore audit staff, articles and reports published by professional accounting bodies, and video presentations of the offshoring process within Big 4 firms. The interview, documentary, and digital data were analyzed through an iterative process of data reduction, data display, and data interpretation (Miles and Huberman 1994; O'Dwyer 2004).

¹ The global network of professional services firms of which EU-TAM forms part will be referred to as the TAM network.

² We use the term onshore auditors to refer to personnel working for audit firms based in so-called highly developed countries, such as the United States, Canada, or the United Kingdom. The term offshore auditors is used to refer to personnel working for the captive offshore centers operated by the Big 4 firms in lower cost countries like India.

³ Institutional Review Board approval was granted by the University of Amsterdam.

The paper mobilizes the notion of *boundary spanning* (Barner-Rasmussen, Ehrnrooth, Koveshnikov, and Mäkelä 2014; Birkinshaw, Ambos, and Bouquet 2017; Levina and Vaast 2005; Schotter, Mudambi, Doz, and Gaur 2017) to help us uncover and explain how EU-TAM sought to build connections between onshore and offshore auditors. We also examine the range of frictions that boundary spanning endeavors engendered. We define boundary spanning as the creation of linkages between different organizational units, such as different subsidiaries of a multinational corporation, that enable the integration and coordination of activities across multiple geographical, cultural, and organizational contexts (Birkinshaw et al. 2017; Monteiro and Birkinshaw 2017; Schotter et al. 2017). In response to calls for research on “the joint role of organizational and individual factors in dealing with the complexity associated with boundary spanning” (Schotter et al. 2017, 410), our analysis considers the boundary spanning activities of key individuals as well as the boundary spanning structures and processes implemented by EU-TAM. To better understand the role of individual actors in the process through which EU-TAM has sought to span the boundaries between onshore and offshore auditors, we draw upon the distinction between “nominated boundary spanners”—individuals nominated by EU-TAM to create linkages between onshore and offshore auditors, and “boundary spanners-in-practice”—individuals actually involved in creating linkages between onshore and offshore auditors (Levina and Vaast 2005).

The paper extends emerging empirical work on the offshoring of audit work by unveiling how EU-TAM linked onshore and offshore audit teams by engaging in different forms of boundary spanning. First, we illustrate how an individual director who pioneered offshoring within EU-TAM acted as a *boundary spanner-in-practice* and was able to bridge most of the boundaries between onshore and offshore auditors (Birkinshaw et al. 2017; Levina and Vaast 2005). We show how an attempt by EU-TAM’s senior management to increase the uptake of offshoring led to many onshore auditors abandoning the offshoring of audit work. In response, EU-TAM redesigned the approach to offshoring by developing training sessions for onshore auditors; establishing a new European captive offshore center in India (the EU-COC) dedicated to EU-TAM clients; creating a “mid-office” to mediate communication between onshore and offshore auditors; and seconding mid-office managers (“interim facilitators”) to the EU-COC. Under the redesigned approach, some of the boundary spanning activities previously undertaken at the individual level became institutionalized in organizational structures and processes with the aim of limiting the dependence on specific individuals like the director who pioneered offshoring within EU-TAM.

Second, we show that while the mid-office structure was created to intervene by lubricating the relationship between onshore and offshore auditors (Barner-Rasmussen et al. 2014; Birkinshaw et al. 2017), it had the unforeseen consequence of exacerbating, instead of easing, perceived communication and quality problems experienced by onshore auditors. While *nominated* as boundary spanners, the mid-office employees reportedly did not have the “skills, abilities, experience and . . . characteristics” required to enable them to become boundary spanners-in-practice (Levina and Vaast 2005; Williams 2002, 114–115). Mid-office employees seconded to the EU-COC purportedly improved communication but were ultimately unable to become boundary spanners-in-practice as they were not seen as legitimate participants or negotiators in the relationship between onshore and offshore auditors (Levina and Vaast 2005).

Overall, these findings provide much needed insights into the “specificities of boundary spanning in global organizations” (Tippmann, Sharkey Scott, and Parker 2017, 473). Our findings highlight how the boundaries between onshore and offshore auditors are not as stable and pre-given as is often assumed in the boundary spanning literature (Langley et al. 2019). Instead, we provide evidence that the boundaries between onshore and offshore auditors are socially constructed and subject to reconfiguration. Furthermore, we demonstrate that “the nomination of a formal boundary spanner role does not guarantee that an individual will become a boundary spanner-in-practice” (Langley et al. 2019, 718) and can have the unintended consequence of widening the boundaries between onshore and offshore employees.

Third, our study offers evidence of the effect of offshoring on the learning process of auditors. Novice auditors learn how to master the “craft” of auditing through the completion of progressively more complex work in a closely supervised environment (Westermann, Bedard, and Earley 2015). Within EU-TAM, the reduced exposure of audit assistants to basic audit training reportedly stifled their on-the-job learning. This contrasts with the findings of Popova and Wright (2019) who contend that offshoring lower-level audit tasks does not hinder, and may even enhance the experiential learning of auditors. By being exposed to more complex work at an earlier stage, novice auditors within EU-TAM were also expected to learn faster, which could be troubling considering that even experienced auditing professionals struggle with the “increased complexity of technical accounting standards” (Westermann et al. 2015, 890).

The remainder of the paper is structured as follows. Section II provides background information on offshoring that underpins our research question. We then present our theoretical framing drawing upon the notion of boundary spanning in Section III. This is followed by an outline of our research method in Section IV and a presentation of the case narrative in Section V. In Section VI, we discuss our findings in the context of the theoretical framing, reflect on the key contributions of the paper, and present our conclusions.

II. BACKGROUND

The Influence of Globalization on Accounting and Auditing

The rise of economic globalization in the 1980s has led to significant changes in society, including but not limited to the emergence of global financial markets, the increased interdependence of major economies, and the intensification of cross-cultural interactions (Barrett et al. 2005). Globalization has also greatly influenced the accounting profession, most prominently through the development of international financial reporting standards (Barrett et al. 2005; Durocher et al. 2016; Mennicken 2008). International auditing standards and practices followed as a “logical consequence” as global financial reporting necessitated “transnationally competent and comparable auditors” to ensure uniformity in the auditing of financial statements across jurisdictions (Durocher et al. 2016, 66). Globalization also stimulated the creation of large networks of accounting firms that transcend the boundaries of nations and national economies (Boussebaa 2015; Cooper, Greenwood, Hinings, and Brown 1998). At present, the Big 4 firms—Deloitte, EY, KPMG and PwC—employ over 1 million people across more than 150 countries⁴ and dominate the audit market for public companies (Carson, Simnett, Soo, and Wright 2012; Francis, Michas, and Seavey 2013; Shore and Wright 2018). Their size and global reach has enabled them to become influential actors in the development and implementation of global financial reporting and auditing standards and practices (Boussebaa 2015; Cooper and Robson 2006; Durocher et al. 2016; Humphrey, Loft, and Woods 2009; Mennicken 2008).

Most accounting and auditing research on globalization has tended to focus on the harmonization of standards and its impact on capital markets (e.g., Daske, Hail, Leuz, and Verdi 2008; Jones and Finley 2011; Wang 2014). The influence of globalization on audit processes and practices has received far less attention (Durocher et al. 2016). The few academic studies in this space have examined the coordination of large multinational audits (Barrett et al. 2005; Downey and Bedard 2019; Downey and Westermann 2021), the audit quality effect of using foreign affiliated audit firms in multinational audits⁵ (Burke, Hoitash, and Hoitash 2020; Dee, Lulseged, and Zhang 2015; Demek, Kaplan, and Winn 2020; Docimo, Gunn, Li, and Michas 2021; Gunn and Michas 2018), and the response of small accounting firms to global accounting standards and practices (Durocher et al. 2016). More recently, scholars have also started to explore how offshoring—another important phenomenon of globalization—influences audit firms and audit practices.

Domestic Outsourcing, Offshore Outsourcing, and Captive Offshoring

Offshoring is a widely used, but ill-defined and very loosely applied, term to describe a form of outsourcing that involves the relocation of organizational activities to a foreign location (Jahns, Hartmann, and Bals 2006; Oshri, Kotlarsky, and Willcocks 2009). Outsourcing refers to the contracting out or delegation of work to an internal or external entity that could be physically located anywhere in the world (Oshri et al. 2009). The management literature suggests that outsourcing arrangements can be broadly classified into three categories: domestic outsourcing, offshore outsourcing, and captive offshoring. *Domestic outsourcing* involves the relocation of business activities to an external provider, which is located in the same country as the client organization (Contractor, Kumar, Kundu, and Pedersen 2010; Jahns et al. 2006; Oshri et al. 2009). *Offshore outsourcing* refers to the contracting out of work to an external provider that is situated in a different country than the client organization (Jahns et al. 2006; Kotlarsky and Oshri 2008; Oshri et al. 2009). *Captive offshoring* involves the relocation of organizational activities to a so-called captive offshore center—a wholly owned subsidiary located in a foreign country that only provides services to the parent company (Lewin and Volberda 2011; Oshri et al. 2009).

Saving costs is the primary driver for organizations to engage in offshore outsourcing and captive offshoring, but additional reasons include the ability to work “around the clock” and gain access to external technological knowledge, a favorable regulatory environment, and highly skilled and motivated personnel (Daugherty, Dickins, and Fennema 2012; 2013; Farrell 2005; Kotlarsky and Oshri 2008; Lewin and Peeters 2006; Martínez-Noya and García-Canal 2011; Oshri et al. 2009). Offshore outsourcing and captive offshoring have become extremely popular business strategies, with around 80 to 90 percent of Fortune 500 companies transferring part of their operations to overseas parties (Peck 2017; Poster and Yolmo 2015).

⁴ The Big 4 firms reported the following number of employees for the financial year 2018: Deloitte 286,200 people in more than 150 countries (Deloitte 2018); EY 261,559 people in more than 150 countries (EY 2018); KPMG 207,500 people in 152 countries (KPMG 2018); PwC 250,930 people in 157 countries (PwC 2019).

⁵ In the audit of companies with international operations, it is common for the principal auditor to rely upon the work of affiliated foreign member firms (Dee et al. 2015).

Offshoring Audit Work

The Big 4 firms have been using offshore outsourcing for the preparation of income tax returns since the early 2000s (Desai and Roberts 2013; Robertson et al. 2004; Soled 2005). The use of captive offshoring for the completion of audit work, the focus of this paper, is a more recent but rapidly expanding practice (Brody, Coulter, and Jewell 2006; Daugherty et al. 2013; Downey 2018; Lyubimov, Arnold, and Sutton 2013; Shamis, Green, Sorensen, and Kyle 2005). Despite the growing prevalence of captive offshoring (hereafter simply referred to as *offshoring*) within the global networks of the Big 4 firms, it has received relatively little academic attention in auditing research. And yet, according to Hanes (2013, 1) “geographically distributed work, such as offshoring, is likely to be very different from work performed in more traditional arrangements and therefore cannot be treated by audit researchers, practitioners, or standard setters as replications of domestic processes abroad.” Hence, it is important that we seek to learn more about the challenges that offshoring brings and the impact it has on audit practitioners.

The few existing academic studies on the offshoring of audit work have focused on: the effect of offshoring versus onshore audit services on the litigation costs for auditors in the case of audit failures (Chambers, Reckers, and Reinstein 2020; Daugherty et al. 2013; Lyubimov et al. 2013); the impact of offshoring on the design of audit work processes and audit performance (Andiola, Downey, Spilker, and Noga 2018; Downey 2018); the influence of offshoring on the learning and performance of novice auditors (Popova and Wright 2019); and outlining future research opportunities (Hanes 2013). Prior academic and professional practice literature has identified cost savings from relocating standardized, repetitive, non-judgmental procedures to low-cost countries as the primary rationale for offshoring audit work. Using low wage personnel for repetitive tasks is considered more efficient as it purportedly enables more experienced staff based in highly developed countries to work on judgmental and high-risk procedures (Daugherty and Dickins 2009; Daugherty et al. 2012, 2013; Downey 2018; Hanes 2013; Shamis et al. 2005). Relocating audit procedures to captive offshore centers does, however, present some challenges.

First, offshoring reduces opportunities for novice onshore auditors to gain experience in conducting basic audit procedures (Daugherty and Dickins 2009; Daugherty et al. 2012; Popova and Wright 2019). As learning on the job is key for auditor development, offshoring work to captive offshore centers can potentially disrupt the process of knowledge sharing within audit firms and harm the professional legitimacy of auditors (Westermann et al. 2015). The professional practice literature suggests that this may widen the expectation gap in auditing as onshore auditors are not fulfilling their expected duties at the required level and thereby escalate litigation risk for audit firms (Daugherty and Dickins 2009). Popova and Wright (2019), however, present contrasting evidence and suggest that exposing novice auditors to more complex experiences, like reviewing audit work conducted in a captive offshore center, does not have a detrimental effect on, and may even benefit, their learning. That said, Popova and Wright’s (2019) experiment only involved the confirmation of accounts receivable; hence, further research is warranted to determine whether the same effect applies to other tasks offshored by audit firms.

Second, prior research suggests that coordinating audit work across geographical and cultural boundaries can be challenging (Burke et al. 2020; Downey 2018; Downey and Westermann 2021; Sunderland and Trompeter 2017). Studies on multinational audits have found that stereotype-driven expectations can negatively influence audit quality by reducing the confidence “local” auditors place in work conducted by “foreign” component auditors (Barrett et al. 2005; Cooper et al. 1998; Downey and Westermann 2021). Fears of litigation, review practices, and intergroup contact can “mitigate the difficulties of coordinating work, but not completely” (Barrett et al. 2005, 3; Downey and Westermann 2021). A heavy reliance on electronic forms of communication and the absence of immediate feedback, both characteristics of offshoring arrangements, can, however, impede the review process and exacerbate, instead of mitigate, the challenges of coordinating work across geographical and cultural boundaries (Downey 2018; Kankanhalli, Tan, and Wei 2006). While prior research has explored the communication and coordination challenges in multinational audits,⁶ little work has been done to examine the nature of such challenges in the context of relocating audit work to captive offshore centers.

Third, Downey (2018) suggests that introducing offshoring without purposefully re-designing audit work processes can undermine the expected benefits of the practice, such as cost savings and freeing up onshore audit staff for more advanced tasks. She uncovered that onshore audit teams are often required to complete the work started by the captive offshore center and then send it back to the offshore auditors when discrepancies are identified (Downey 2018). While this can be perceived as an effective approach for managing a lack of familiarity or trust in offshore audit staff, she finds that “completing ‘unfinished’

⁶ The coordination and communication challenges of multinational (group) audits differ from those experienced in the offshoring of audit work to captive offshore centers. In multinational (group) audits, the “group auditor,” i.e., the single audit firm that “takes responsibility for signing the audit opinion for the consolidated [global] entity” (Downey and Bedard 2019, 123), relies on work performed by foreign auditors from network member firms. The network members firms are legally autonomous and separate national or regional firms with voting power at the network level (see Downey and Westermann 2021). Captive offshore centers, on the other hand, are fully owned subsidiaries of Big 4 member firms based in the United States or Europe without voting power at the network level. While multinational audits and captive offshoring both rely upon foreign personnel, offshoring is concentrated in lower-level tasks that would otherwise be performed by junior onshore team members. In contrast, work sent to component auditors often encompasses the audit of an entire business unit or subsidiary.

work that is perceived to be of less importance to the overall audit is associated with significantly lower [audit] performance” (Downey 2018, 218). As the findings of Downey (2018) are primarily based upon an experiment involving one basic audit task, i.e., the search for unrecorded liabilities, further research is needed to examine the impact of audit work design changes in the field (Canning et al. 2018).

While the studies discussed above are indicative of an increasing academic interest in the practice of offshoring of audit work, little is known empirically about how offshoring affects onshore auditors and the audit process. According to Downey (2018, 218) it is important to give greater consideration to “the offshoring process and team dynamics in this environment.” She suggests that a better understanding of the facilitation of integration between onshore audit teams and captive offshore centers could assist in assessing the effectiveness and efficiency of offshoring audit work (Downey 2018). This paper aims to contribute to our understanding in this respect by answering the following research question:

RQ: How does the offshoring of audit work affect onshore auditors and the audit process?

We frame our analysis of offshoring by looking at the intended and unintended consequences of the use of captive offshoring for onshore auditors using a framework predicated on the concept of boundary spanning. We outline this concept in the next section and relate it directly to our research focus.

III. BOUNDARIES AND BOUNDARY SPANNING

Offshoring arrangements are characterized by multiple and overlapping boundaries that can “present challenges to service interactions and therefore to operational effectiveness” (Levina and Vaast 2008; Stringfellow, Teagarden, and Nie 2008, 170). Geographical boundaries between onshore and offshore staff—who can be thousands of kilometers apart—limit the available means of communication (Stringfellow et al. 2008). In most offshoring arrangements, electronic communication has replaced face-to-face communication, which can lead to misunderstandings caused by not communicating contextual information and by not communicating information evenly (Kankanhalli et al. 2006).⁷ In the context of auditing, the increased reliance on electronic communication has also been associated with increased distraction, an underdeveloped ability to think critically, and a reduced capability to “read people” (Westermann et al. 2015).

Cultural boundaries between onshore and offshore staff can prevent effective interaction through differences in time orientation, interpretation, risk appetite, and the ability to work autonomously (Stringfellow et al. 2008; Youngdahl, Ramaswamy, and Dash 2010). Language barriers can result in a range of interpretation difficulties and become a major source of frustration for both onshore and offshore staff (Kankanhalli et al. 2006; Stringfellow et al. 2008). Differences in English language proficiency are also at risk of placing offshore auditors at a disadvantage and can create status differences between them and onshore auditors (Downey 2018; Levina and Vaast 2008). In the context of global group audits, Barrett et al. (2005, 18) uncovered that “expectations and stereotypes about national culture of different auditors can reproduce (and change) social understandings [and affect] the ability to plan and coordinate across national boundaries.” Downey and Bedard (2019, 123) found no supporting evidence for an association between cultural and language barriers for group auditors but did observe that “it may be that these barriers are more salient to component . . . auditors, i.e. those engaged in foreign jurisdictions to perform work over local business units.”

While Barrett et al. (2005) and Downey and Bedard (2019) provide helpful insights into the role of language and cultural barriers in multinational audits, little is known about how such barriers are experienced in the context of offshoring audit work to low-cost countries like India (Downey 2018). Nonetheless, the offshoring literature suggests that the dynamic boundaries between onshore and offshore can expose organizations to “the invisible costs of offshoring,” i.e., the “hidden communication-related costs associated with the use of foreign service providers” (Stringfellow et al. 2008, 166–167). Individuals working across time and space often have problems bridging differences in their occupational knowledge and work practices. Therefore, it is important that function-specific contextual knowledge such as time constraints, requirements, or goals are conveyed such that both groups can work together (Leonardi and Bailey 2008). We mobilize the notion of *boundary spanning* to conceptualize the manner in which our case study organization, EU-TAM, sought to overcome the challenges caused by the presence of multiple and overlapping boundaries between onshore and offshore auditors.

Boundary Spanning

Boundary spanning can be broadly defined as the creation of linkages between different organizational units, such as different subsidiaries of a multinational corporation, that enable the integration and coordination of activities across

⁷ The findings of Downey, Obermire, and Zehms (2020) suggest that communication difficulties can also arise when auditors from the same firm work from different physical locations within the same country.

multiple cultural, institutional, and organizational contexts (Birkinshaw et al. 2017; Kane and Levina 2017; Levina and Vaast 2005; Monteiro and Birkinshaw 2017; Schotter et al. 2017). Boundary spanning has become of central importance for organizations that engage in practices—such as offshoring and global group audits (Downey and Bedard 2019; Downey and Westermann 2021; Levina and Vaast 2008)—that involve the coordination of spatially dispersed activities across different contexts (Kane and Levina 2017; Schotter et al. 2017). In the context of this study, boundary spanning relates to the construction of links between onshore auditors, located in Europe, and offshore auditors, located in India, to enable collaboration on audit assignments. According to the management literature, boundary spanning is an “inherently . . . complex phenomenon” (Schotter et al. 2017, 406) that encompasses a wide range of activities that can serve different objectives and occur at different levels within an organization (Barner-Rasmussen et al. 2014; Birkinshaw et al. 2017).

Drawing on relevant insights from studies on boundary spanning within multinational corporations (Barner-Rasmussen et al. 2014; Birkinshaw et al. 2017), we categorize boundary spanning activities into four main functions: exchanging, linking, facilitating, and intervening (presented in order of increasing complexity). *Exchanging*, the most basic function of boundary spanning, refers to the sharing of information and knowledge across boundaries in informal settings—such as informal coffee meetings, or formal settings—such as formal meetings or task forces (Barner-Rasmussen et al. 2014). It involves the transfer, i.e., the sending and receiving, of information or knowledge with very little translation or transformation (see Carlile 2004). *Linking* involves using existing (personal) networks to create connections across boundaries between previously disconnected actors. The function of linking has some overlap with activities that Birkinshaw et al. (2017) label as spearheading—the use of existing (personal) relationships to broker a link between previously disconnected parties. *Facilitating* involves assisting the spanning of boundaries between other parties by creating a “channel” that facilitates cross-border communication or by acting as an interpreter to help other parties to better understand each other (Barner-Rasmussen et al. 2014). It can include activities such as making internal introductions between employees in different organizational units, creating events and other opportunities that enable people from different parts of the organization to interact, and seconding employees to overseas locations to encourage shared understanding (Birkinshaw et al. 2017).

Finally, *intervening* involves the active intervention in the cross-border interaction of others through “resolving misunderstandings, managing conflicts, or building inter-group trust” (Barner-Rasmussen et al. 2014, 888). In contrast to facilitation, which entails relatively passive activities such as making introductions, intervention involves taking “an active role in creating positive cross-group outcomes, often by seeking to turn negative interactions into positive ones and actively promoting effective inter-group relations” (Barner-Rasmussen et al. 2014, 888). As such, it is closely related to what Birkinshaw et al. (2017) refer to as “lubricating”—the pro-active engagement in activities that seek to overcome differences⁸ and conflicts between groups, such as exposing and challenging implicit biases held among employees or restructuring formal procedures to ensure that employees from different business units are on an equal footing.

Most prior research has either examined boundary spanning activities at the organizational level—focusing on the organizational structures and processes that institutionalize boundary spanning functions (see, for example, Schotter and Beamish 2011)—or at the individual level—focusing on the managerial skills of individual boundary spanners (see for example Monteiro and Birkinshaw 2017). Recent work, however, suggests that fully developing the potential of research on boundary spanning “requires integrating these two research streams” (Schotter et al. 2017, 410). In response to this call for research, we focus our attention on the “the joint role of organizational and individual factors in dealing with the complexity associated with boundary spanning” (Schotter et al. 2017, 410) in the context of offshoring audit work.

To better understand the role of individual actors in the process through which EU-TAM has sought to span the boundaries between onshore and offshore auditors, we draw upon the distinction between “nominated boundary spanners” and “boundary spanners-in-practice” (Levina and Vaast 2005). *Nominated boundary spanners* are the individuals specifically assigned by an organization to perform boundary spanning activities (Levina and Vaast 2005; Nochur and Allen 1992). Being nominated to perform boundary spanning activities within an organization, however, does not guarantee that an individual will succeed and become what Levina and Vaast (2005) call a *boundary spanner-in-practice*. They may, for example, lack the necessary “skills, abilities, experience and personal characteristics” (Levina and Vaast 2005; Williams 2002, 114–115) to communicate and coordinate across multiple cultural, institutional, and organizational contexts (Kane and Levina 2017; Schotter et al. 2017).

Boundary spanners-in-practice are individuals within an organization who, with or without formal nomination, engage and actually succeed in spanning the boundaries between different contexts (Langley et al. 2019; Levina and Vaast 2005). As boundary-spanners-in-practice, these individuals are able to successfully manage “the ambiguities of belonging to and

⁸ When intervening is used specifically to “overcome the different worldviews of subsidiary managers and actors in their external network,” Birkinshaw et al. (2017, 436) refer to it as *reconciling* instead of *lubricating*.

navigating different [organizational] worlds” (Langley et al. 2019, 718). To become a boundary spanner-in-practice, Levina and Vaast (2005, 353–354) suggest that individuals must become a “legitimate, but possibly peripheral, participant in the practices of both fields” (p. 353), “have legitimacy . . . as negotiators on behalf of the field whose interests they are to represent” (p. 353), and develop “an inclination to span the boundaries of diverse fields” (p. 354).

Tippmann et al. (2017, 473) highlight the “need to develop the specificities of boundary spanning in global organizations.” Similarly, Schotter et al. (2017, 404, emphasis added) point out that “[t]he boundary spanning function in . . . global organizations includes a wide range of processes, *all of which are under-researched*.” Our analysis of how EU-TAM sought to span the multiple and overlapping boundaries between onshore and offshore auditors responds to these recent calls for more research on boundary spanning in globally operating organizations (Birkinshaw et al. 2017; Schotter et al. 2017; Tippmann et al. 2017).

IV. RESEARCH METHOD

Given that the objective of this study is to develop our understanding of *how* and *why* offshoring emerged as an organizational matter, changing the way audit work is organized and perceived in a Big 4 firm, a qualitative research methodology was deemed most appropriate (Cooper and Morgan 2008; Denzin and Lincoln 2003; Flick 2006; Given 2008; Silverman 2000). More specifically, we used a case study approach (Cooper and Morgan 2008) drawing upon multiple data sources—documentary data, in-depth interviews, and digital data—to obtain detailed information about the complexities underpinning the real-life phenomenon (Miles and Huberman 1994; Patton 2002) of offshoring in audit.

Data Collection

The first round of data collection, which took place between February and March 2017, involved the collection of internal documents—including newsletters, staffing details, online request forms, and digital data—including a webcast and three e-learning sessions on offshoring (see Table 1). A preliminary content analysis of the documentary and digital data collected during this first round offered a picture of the information that employees were furnished with throughout the offshoring process, the chronology of the events giving rise to offshoring in EU-TAM, the key individuals involved, and the activities they undertook to bring about this change in audit practice. This helped with the identification of interview participants and assisted the development of a broad interview guide.

In the second stage of data collection, 13 semi-structured interviews were conducted with 12 (onshore) auditors within EU-TAM who were selected because of their direct experience of the offshoring process within EU-TAM.⁹ In order to capture the broad level of knowledge in the field (Patton 2002), the interviewees comprised those at the level of (junior) assistant (3 interviewees), senior assistant (3 interviewees), assistant manager (2 interviewees), manager (3 interviewees) and director (1 interviewee) (see Table 2). The director was re-interviewed because of his deep knowledge and involvement in the offshoring of audit work within EU-TAM. Interviews were conducted face-to-face in the EU-TAM office located in a European city between February and April 2017 and ranged from 30 to 75 minutes in length. Measures, as suggested by Lincoln and Guba (1985), were taken to ensure the trustworthiness of the interview data whereby all interview data were recorded electronically and transcribed in full. Transcriptions were sent to interviewees for comment and additional comments and issues raised were noted and formed part of the overall analysis.

The first interview was with a director who had almost three decades of working experience in EU-TAM and who was the protagonist behind the initial offshoring initiative in the firm. This offered essential background and assisted with the development of questions for the remaining interviews. Subsequent interviews began with a reflection on the interviewee’s first exposure to offshoring within EU-TAM and then gradually developed into an exploration of more specific aspects including the motives behind the use of offshoring, changes in the approach to offshoring, the opportunities and challenges of offshoring, the impact of offshoring on the training of audit assistants, and the future for offshoring in auditing. An interview guide containing

⁹ A post-graduate researcher conducted the interviews under the close supervision and guidance of one of the authors. This researcher was working as an intern within EU-TAM while researching for her post-graduate thesis. This enabled the identification and contacting of individuals who were directly involved in the offshoring of audit work within EU-TAM. The aforementioned author co-designed the initial part of the research project on which this study is based. This involved determining the initial research focus, designing initial interview questions and follow-up questions, holding recorded post-interview meetings with the researcher to reflect on the interview content and themes as the interviews progressed, and developing new lines of enquiry as new interviews were planned and individuals were re-interviewed. As noted above, the raw data gathered in these interviews, in the form of interview transcripts, forms just one element of the more extensive dataset drawn on to construct the study. The raw interview transcripts were analyzed separately by all three authors as part of an overall analysis of the complete set of data collected in order to form a base for the construction of the case narrative.

TABLE 1
Documentary and Digital Evidence Collected in the First Round of Data Collection

Reference	Internal Source	Short Description
EU-TAM-Webcast	Webcast of the kick-off conference call, which is led by the Head of Operations (HOO)	Details of why it was time to change and a comparison between the old (Phase 1) and the new offshoring process (Phase 2) are presented. The benefits are briefly explained, and a small introduction is given to the three e-learning.
EU-TAM-eLearn1	E-learning number 1, voice of the HOO	Addressed the concept of the EU-COC, its purpose and its structure.
EU-TAM-eLearn2	E-learning number 2, voice of a female employee	Explanation of the audit services that can be offshored as well as an illustration of the template to use for each of these services.
EU-TAM-eLearn3	E-learning number 3, voice of a female employee	An outline of the procedures to request EU-COC support, how to make a change request, and an illustration of the workflow between the different teams, such as engagement team, the mid-office, and EU-COC operations.
EU-TAM-Intranet	Website page on the intranet of the Big 4 firm, code name EU-TAM	Shows the persons involved in the EU-COC process in an organizational structure with their photograph and a short description of their role, such as manager of the EU-COC or "interim facilitator."
EU-TAM-Newsletter	Weekly newsletter	This is sent to the EU-TAM audit department. In this newsletter the employees are updated on quality and the latest financial reporting standards, but also occasionally on the EU-COC or other relevant topics.
EU-TAM-Planning	Planning in the financial institution audit department	This Excel sheet outlines for each person how many hours and on which audit client they are planned for certain weeks.
EU-COC-Req	Online EU-COC request form	This form asks the local team to select the EU-COC services they wish to use and the number of times they wish to use the services for each account balance. Contact details of one of the local team members, the reviewer of the local team, the date when the team is going to deliver the audit documents, and when the deadline for the EU-COC to deliver are also included.
EU-COC-FAQ	Frequently asked questions about the EU-COC	Frequently asked questions about the EU-COC included: what are the lessons learned from the earlier cooperation with the US-COC; what will be the amount charged by the EU-COC for services; how will the EU-COC be rolled out?

TABLE 2
Overview of Interviews Undertaken in the Second Round of Data Collection

Interviewee	Position in Firm	Duration of Interview (Minutes)
D1 (2 interviews)	Director	75
M1	Manager	55
M2	Manager	50
M3	Manager	60
AM1	Assistant Manager	60
AM2	Assistant Manager	45
SA1	Senior Assistant	45
SA2	Senior Assistant	50
SA3	Senior Assistant	45
A1	Assistant	40
A2	Assistant	30
A3	Assistant	30

TABLE 3
Summary of the Documents and Digital Evidence Collected in the Third Round of Data Collection
(See Appendix A for Further Detail)

Source	Number of Documents/ Videos	Number of Pages	Duration of Videos
EU-TAM			
EU-TAM annual report	1	184 ^a	
EU-TAM news article	1	1	
EU-TAM transparency reports	5	620 ^a	
EU-COC job advertisements	5	24	
EU-COC professional profiles	5	20	
EU-COC video presentation	1		1:53 min
Mid-Office			
Mid-office job advertisement	1	3	
Mid-office manager professional profiles	3	7	
Mid-office video presentation	1		1:38 min
Other EU-TAM Member Firms			
Job advertisements	4	10	
Professional profiles	1	1	
Reports on offshoring	8	117	
The Professional Accounting Body (PAB) in EU-TAM's Home Country			
Articles and reports on offshoring	14	112	
International Professional Accounting bodies (IPABs)			
Articles and reports on offshoring	8	397	
Other Big 4 Firms			
Annual reports	2	313 ^a	
Newsletter articles	2	8	
Professional profiles	2	2	
Transparency reports	7	492 ^a	
Big 4 firm video on offshoring	1		1:45 min
Report on offshoring	1	41	
Business News			
Business news articles on offshoring	12	59	
Blogs			
Online blogs on offshoring audit work	2	6	
TOTAL	87	2,417	5:16 min

^a Not all pages of the annual and transparency reports analyzed for this study were found to provide relevant information. Hence, not all pages of these reports were coded.

a broad set of questions¹⁰ was used to assist in maintaining focus during the interviews. The questions included were, however, open-ended thereby allowing for flexibility during the interviews (Ryan, Scapens, and Theobald 2002). In this way, a form of “reflective interviewing” (Roulston 2010) was conducted whereby interviewees were allowed to drive the issues that were important to them in the context of the focus of the study (Humphrey and Lee 2004).

The third stage of data collection occurred between June 2018 and December 2020 and involved the collection of publicly available information on the offshoring of audit work by Big 4 firms (see Table 3). We engaged in this third stage of data collection to obtain better insights into the emergence of offshoring in the broader field of auditing, the offshoring practices of

¹⁰ The interview guide included open questions such as: “Could you tell me about the use of offshoring within EU-TAM?” “How did the offshoring of audit work emerge within EU-TAM?” “When were you first involved in the offshoring of audit work?” “What is the nature of audit work being offshored?” “What is the process of offshoring audit work within EU-TAM?” “What do you see as the main benefits of offshoring audit work?” “What do you see as the main challenges of offshoring audit work?” “How do you perceive the quality of audit work conducted offshore?” “How do you communicate with offshore auditors?” “How does the offshoring of audit work impact the work of onshore auditors?” and “How do you see the future of offshoring audit work?”

EU-TAM and other Big 4 firms, and the views of professional accounting bodies about the offshoring of audit work. We conducted extensive Google searches¹¹ to identify documentary and digital material published on the offshoring of audit work by sources such as Big 4 firms, professional accounting bodies, regulatory bodies, and news outlets. After every search, we scanned through and assessed the relevance of the documents and videos that showed up in the search results. This resulted in a total of 84 documents and 3 videos on the offshoring of audit work. Documents collected included reports published by EU-TAM and other Big 4 firms, professional profiles of onshore and offshore auditors, job advertisements, articles published by professional accounting bodies, and business news articles (see Table 3 and Appendix A). The three videos, which were transcribed in full, provided an overview of the audit work conducted at captive offshore centers operated by Big 4 firms in India. The documentary and digital evidence collected during this stage offered additional insights into the process of offshoring audit work within EU-TAM. It also enabled us to develop a better understanding of the broader context surrounding offshoring in the audit domain.

Our decision to collect evidence from a broad variety of data sources was influenced by the access negotiated with EU-TAM, which prevented us from conducting further interviews. EU-TAM also agreed to participate in this study on the condition that they would remain anonymous. Conducting context-based audit research often requires academics to “overcome many obstacles when negotiating with practitioners’ gatekeepers” (Gendron 2000, 178). The receptivity of Big 4 firms to participating in context-based research can be particularly low when projects have the potential to “tarnish their legitimacy” (Gendron 2000, 178) or are “perceived as having a significant potential to demystify the audit practice in the public’s eyes” (Gendron 2000, 187; see also Gendron 2018). While we were fortunate to be able to arrange interviews with onshore auditors working in a Big 4 firm, our documentary analysis in stage 3 above suggests that the use of captive offshoring is very much a “silent trend” (PAB14¹²) in the audit profession because it has the potential to threaten the legitimacy of Big 4 firms:

There seems to be a deeper cause for the media silence [around the offshoring of audit work]: A number of audit firms are afraid that the offshoring of accounting and auditing work to low-cost countries could destroy their *raison d’être*. (PAB5)

Many audit firms are experimenting with offshoring but preferably without any publicity, as the practice is considered extremely sensitive. Which audit firms are involved [in the offshoring of audit work] is rather mysterious, because most of them do not want to open up about the practice. (PAB5)

Data Analysis

The analysis of the documentary, interview, and digital data collected was undertaken through an iterative process of data reduction, data display, and data interpretation (Miles and Huberman 1994; O’Dwyer 2004). NVivo¹³—a qualitative data analysis computer software package—was used to manage the data and to support our analytical processes¹⁴ (Bazeley 2013; Boomsma and O’Dwyer 2019). The first step of data reduction involved a detailed review and coding of the material obtained during the first and second round of data collection. In this step, an open coding scheme was developed to identify key themes around the emergence and use of offshoring within EU-TAM.¹⁵ In the second step of data reduction, we analyzed the evidence gathered in the third round of data collection using a separate open coding scheme to identify themes around the use of offshoring within EU-TAM and other Big 4 firms. During this process, the challenging, but seemingly essential, task of building strong relationships and connections between onshore and offshore auditors emerged as an important theme and led us to the theoretical notion of *boundary spanning*.¹⁶ In the third step of data reduction, after reading the literature on boundary

¹¹ In searching for evidence, combinations of the following keywords were used: “offshoring,” “offshore,” “outsourcing,” “outsource,” “audit,” “auditing,” “audit firm(s),” “audit profession,” “audit service(s),” “accounting,” “accountant,” “Big 4,” “Big Four,” “delivery centre(s),” “delivery center(s),” “service centre,” “service(s) centre,” and “service(s) center.” The Big 4 firms use variations of the terms delivery center and service center to refer to their captive centers in so-called low-cost countries like India.

¹² This code—PAB14—and similar codes used throughout the remainder of the paper—for example PAB5, IPAB1, BIG4-Report1, BIG4-Trans1, BNEWS1—refer to sources outlined in Appendix A. We do not list the exact source of information in the reference list to maintain the anonymity of EU-TAM. Instead, we provide an overview of the documentary and digital material collected in Tables 1 and 3, and in Appendix A.

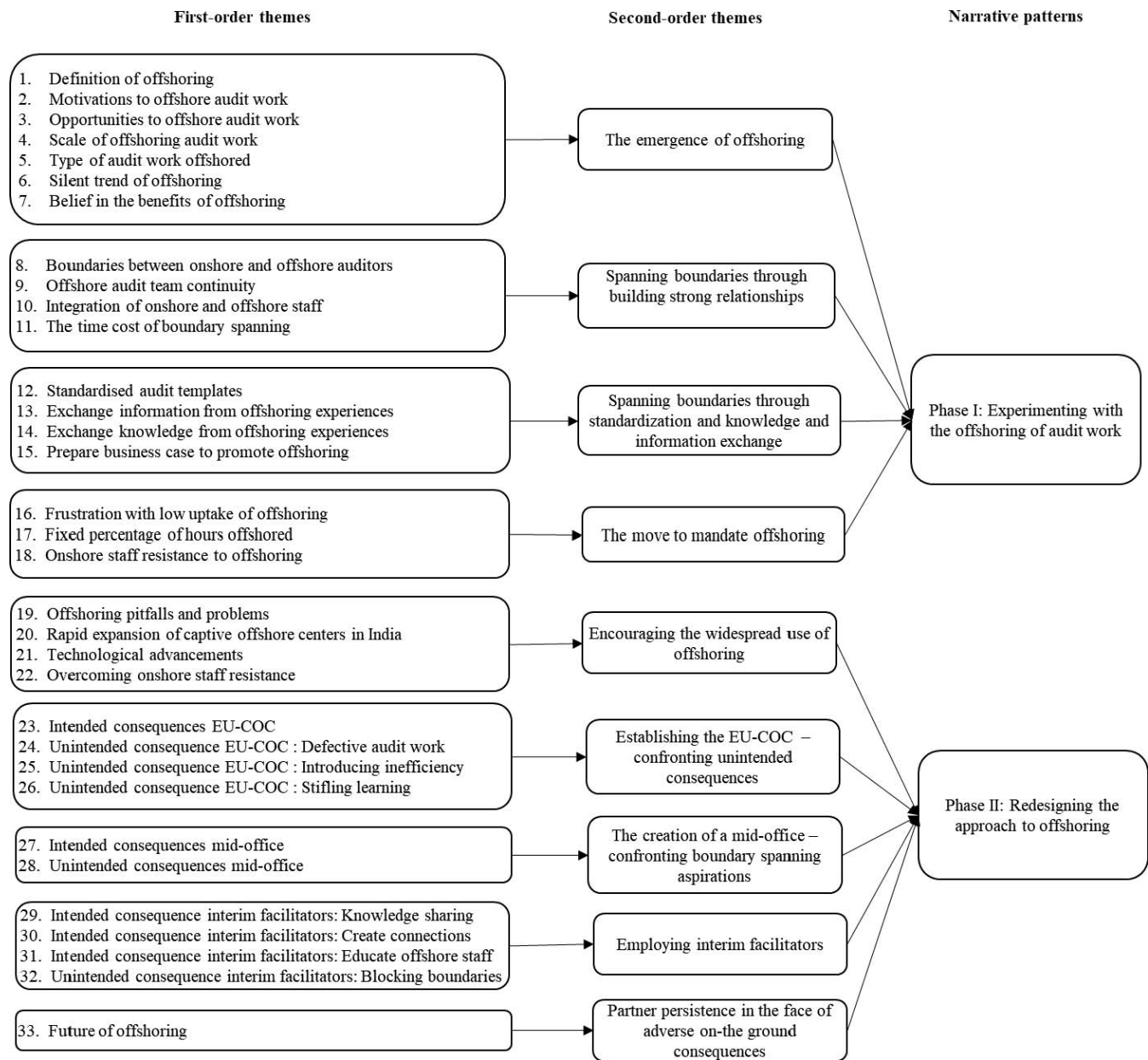
¹³ We used the Pro edition of NVivo 11 for Windows, which allows users to import, analyze, and code documents, audio files, video files, and pictures (see: www.qsrinternational.com/nvivo-qualitative-data-analysis-software).

¹⁴ We made use of the basic functionality of NVivo such as creating a coding scheme, attaching codes to text and video segments to capture meaning in the data, merging codes, and creating clusters of codes around key themes.

¹⁵ The interview transcripts were initially coded using pen and paper and later coded using NVivo to facilitate the sorting and merging of codes to search for emergent themes. Documentary and digital data was directly coded in NVivo.

¹⁶ We initially used alternative theoretical ideas to help us conceptualize aspects of our analysis but these were later abandoned.

FIGURE 1
Data Structure



spanning, all our data were analyzed again in order to merge the two separate coding schemes and to add new codes where necessary in an effort to incorporate theory into our analysis (Gioia, Corley, and Hamilton 2013; Miles and Huberman 1994).

Data display involved visually displaying the coded data by preparing coding matrices and mind maps, allowing us to construct a detailed overview of the themes and patterns emerging in the data. Our data interpretation process involved moving repeatedly between the data and the literature and we continued to interrogate the data until we reached agreement on the key themes for the case narrative (Denzin and Lincoln 2000; Silverman 2000). In this way, we engaged in a “constant dialogue between the views of the actors in the field” and our interpretations in an effort to understand how the practice of offshoring audit work was “made and reproduced” (Power and Gendron 2015, 156). We continually challenged our interpretations (Lincoln and Guba 1985) until we were satisfied that we could build a narrative that could be defended with the data (see Figure 1 for an overview of our data structure). This narrative is presented in the following section.

V. CASE NARRATIVE

We present the case analysis in this section. It is divided into two distinct phases to reflect the two attempts made to introduce offshoring in EU-TAM. In each phase, we focus our analysis on understanding how offshoring (re-)emerged as a plausible choice in EU-TAM, changing the way audit work is organized. More specifically, we explore how EU-TAM sought to achieve the intended consequences and manage the unintended consequences of the decision to offshore some of its audit work to India.

Phase 1—Experimenting with the Offshoring of Audit Work

The rapid advancements in telecommunications technologies such as high-speed internet, videoconferencing, and advanced network-computing have enabled the transmission of information over long distances at low cost and with little loss of quality. This has propelled the offshoring of business services to lower cost countries (Levy 2005; McKinsey Global Institute 2003; Shamis et al. 2005). The spread of globalizing accounting and auditing standards (see Durocher et al. 2016) made it possible for the Big 4 firms to latch onto this trend:

As reporting regimes are becoming more and more similar, there is actually not a single valid argument against offshoring audit work. (PAB4)

Attracted by lower wages and English language skills, the Big 4 firms started to employ entry-level workers in captive offshore centers in India in the early 2000s (PAB1; PAB3; PAB5). These captive offshore centers—referred to by the Big 4 firms as shared services centers or global delivery centers—are established as fully owned subsidiaries of Big 4 member firms based in the United States (U.S.) or Europe, or as a joint venture between Big 4 member firms based in the U.S., Europe, and India (EU-COC-Profile1; BIG4-Profile1; BIG4-Profile2). Unlike “normal” members of global Big 4 firm networks, which are legally separate and autonomous entities (see Downey and Westermann 2021), the captive offshore centers do not have their own client base and solely provide services to member firms based in the U.S., Canada, and Europe. Similar to other multinational corporations (see Boehe 2010; Kedia and Mukherjee 2009; Lewin and Volberda 2011), the Big 4 firms reportedly prefer the use of captive offshore centers over offshore outsourcing because it provides them with more operational and quality control as well as more effective knowledge protection:

[Big 4 firms] consciously opt for offshoring and not for outsourcing to a third party. This is in line with the trend that is visible internationally ... What you see is that audit firms choose to outsource front office activities within their own network. The reason is to keep things like the quality of services in their own hands. (PAB6)

The responsibility for the work done in India remains in [EU-TAM’s home country]. This means that clients can hold us to account on the basis of [the home country’s] quality requirements. We obviously want to guarantee matters such as quality, care and confidentiality. We are also required to do this by law. Furthermore, it is important for the client that his point of contact is not in India, but with his regular contact in [home country]. (EU-TAM partner cited in PAB4)

Initially, the offshoring of basic audit work was perceived by the Big 4 firms as an effective way to “reduce cost while maintaining the same level of quality” (PAB4) and quickly gained in popularity. Our documentary evidence suggests that the percentage of audit hours offshored to India by the Big 4 firms has increased from less than 5 percent in 2007 to more than 10 to 20 percent in 2019 (BIG4-Report1; BIG4-Trans5; BNEWS9; BNEWS10; IPAB5). To accommodate the increase in audit (and consulting) hours offshored, the number of people employed by captive offshore centers operated by the Big 4 firms in India increased from a few thousand in 2007 to tens of thousands in 2019 (BNEWS9; BNEWS10; PAB4):

At the moment, we are constructing more buildings in India ... When all of these [new] buildings in the photo will be in operation, around 22,000 people will be based there [in the captive offshore center]. (D1¹⁷)

In 2005, our case organization EU-TAM became one of the first member firms outside of the U.S. to explore the possibility of relocating some audit work to India. EU-TAM was able to use the services of the Indian captive offshore center operated by TAM’s national office in the U.S.¹⁸ At the time, this captive offshore center (code-named U.S.-COC) had around 500 to 700

¹⁷ The codes used to represent each interviewee—D1, M1–3, AM1–2, SA1–3 and A1–3—are presented in Table 2.

¹⁸ The national office does not provide services to clients but coordinates the activities of its regions. Each region offers services in certain geographic areas, such as major cities or territories of the U.S. The U.S.-COC was set up and coordinated as if it was a region in the U.S. While the employees at the U.S.-COC were from India, the responsibility for hiring, training, supervising, and firing U.S.-COC employees rested with the U.S. national office.

staff members performing audit work for U.S. clients (D1; PAB4). The initiative to pursue this practice in EU-TAM was driven by the belief that offshoring could offer a solution to high staff turnover and recruitment difficulties:

The people we train [in EU-TAM] are attractive to other companies. Auditors are also more likely to leave the profession due to the increasing risk of legal claims or disciplinary actions. And more stringent regulations are not only making our work but also our training increasingly formal. That is why fewer students choose for the [audit] profession ... We can bring [new recruits] here, but we can also take the work to other countries ... This trend of relocating work is reinforced by our clients who are offshoring financial-economic functions within their own organizations. (EU-TAM CEO cited in BNEWS7)

Within EU-TAM, offshoring was piloted by one of its directors who believed that it could offer a solution to an emerging staffing crisis for some of his large audit clients as well as cut costs considerably (see also [Downey and Bedard 2019](#); [Farrell 2005](#); [Lewin, Massini, and Peeters 2009](#)):

We started by offshoring audit work for several large clients, such as investments funds and hedge funds, where I was involved. It was almost impossible for us to do this work because it was busy season, so we standardized large parts [of the audit] and relocated the work to there [the captive offshore center in India]. We were the first foreign, [non-U.S.], member firm who was going to do this in India. It worked really well, especially when we standardized the process: outlining this is what you have to do and these are the files. (D1)

Using offshoring to address staff shortages was, however, not unique to EU-TAM. Other Big 4 firms in EU-TAM's home country had also discovered offshoring as a promising and practical solution to the increasing workload of onshore auditors and audit fee pressure from clients (see also [Beardsley, Lassila, and Omer 2019](#)):

Clients are asking us to run the audit process more efficiently, with increasingly tight timelines. Through offshoring we can use capacity flexibly and reduce the peak load for our [onshore audit] colleagues. This is a practical method, especially in times of a tight [onshore] labor market. Furthermore, the market forces us to work efficiently and to reduce [audit] costs. (Big 4 firm partner cited in PAB6)

Even the professional accounting body in EU-TAM's home country noted that "the offshoring of audit work has a lot of advantages" and at the time was considered "very attractive considering the structural shortages in the labor market for [onshore] auditors." (PAB5)

Spanning Boundaries through Building Strong Relationships

When EU-TAM started offshoring audit work to India, the U.S.-COC decided which employees to allocate to each offshoring audit job. The director who piloted offshoring within EU-TAM, however, recognized the importance of audit team continuity (see also [Christensen, Newton, and Wilkins 2021](#)) and had requested and received access to "a permanent team in India of around 10 people" (D1) that he employed on all his offshore audit assignments. He engaged in extensive interaction efforts to ensure strong connections between EU-TAM and these employees in India by spending considerable time there developing relationships with them:

Every year I worked with the same team members from India ... During this time, I also visited India several times and during my stay I built up a relationship with the Indian employees. (D1)

The director believed that these direct relationships "worked very well" (D1) to ensure that the offshore auditors were clear on the existing audit practices used by EU-TAM onshore. Having "direct contact with the [offshore auditor] responsible for the work" (AM1) was deemed beneficial because "when you know someone, you can ask questions, you can ask them to spend an hour on this, say I need you" (M2). The arrangement whereby EU-TAM would have direct contact with "a fixed team" (D1) in India reportedly resulted in the offshore auditors being integrated into the onshore audit team:

One of my team members in India even came to say goodbye to me because she was getting married to an American. They were part of the team. (D1)

Direct and frequent communication between onshore and offshore auditors while working on an assignment resulted in onshore practices becoming sanctioned and reflected in the work undertaken by offshore auditors. These relationships were therefore critical for the communication and coordination of audit work across the multiple and overlapping boundaries that separated onshore and offshore auditors ([Barner-Rasmussen et al. 2014](#); [Levina and Vaast 2008](#)):

The team here [onshore] and the team in India also had regular contact with each other. For example, we [onshore team] reviewed all their [offshore] work and provided them with feedback which they processed. (D1)

However, bringing offshoring employees “up to speed” on onshore practices and processes through the development of strong relationships was also costly from a time perspective (Leonardi and Bailey 2008). Working with the captive offshore center in India reportedly “took more time and money” than originally anticipated because onshore auditors were spending “a lot of time instructing, coordinating and calling” (M1), and experienced some language barriers:

After you invested an hour to explain the work, she [the offshore auditor] still wanted another call to ask questions. During this call, 10 men sat on the other end of the line [in the captive offshore center in India] asking questions in difficult to understand English. (M1)

Spanning Boundaries Through Standardization and Onshore Knowledge and Information Exchange

The onshore audit team was encouraged to provide the offshore team with standardized audit templates comprising step-by-step instructions. These templates sought to further ensure that the offshore team performed the audit work in a manner that was consistent with how it was completed onshore, to the extent that it was “as if the [audit] work was undertaken by the local [onshore] team” (D1):

We [onshore auditors] made templates to illustrate how the audit work should be executed . . . We created packages which included the Excel template and a document with detailed instructions and procedures that should be followed when executing the work . . . It really worked excellently because we standardized the work program for the employees in India. (D1)

Believing in the benefits of offshoring, the director worked hard to convince his colleagues in EU-TAM to follow his lead and support the use of the U.S.-COC. He continually exchanged information and knowledge with them obtained from his escalating offshoring experiences (see also Barner-Rasmussen et al. 2014):

I explained how I was using the [U.S.-COC] and mentioned that if they were interested or preferred to receive more information, they could contact me. (D1)

He suggested that “they [his audit onshore colleagues] could piggyback” (D1) on his prior experience in sending work to India and explained how offshoring was especially suitable for “bulk work and relatively standard work” (M2), “work with a lot of number crunching” (D1), and work mainly concerned with balance sheet accounts such as “cash accounts” (D1) (see also Downey 2018). He also prepared a business case promoting the benefits of offshoring, including cutting costs to “help reduce the shortage of staff during the busy season” and offering “more interesting work for younger [onshore] employees” (EU-TAM senior manager cited in PAB6). These persuasion tactics gradually resulted in the U.S.-COC being used more both within and “also outside [his] department” (D1).

The Move to Mandate Offshoring

EU-TAM’s senior management was convinced by the director’s business case arguments and started to see offshoring as a cost-effective way to “support and unburden the [onshore] auditing team by having less complex work performed by a specialist central auditing team in India” (EU-TAM-Trans2). This was expected to reduce the workload of onshore auditors, allowing them to “focus on the more complex and interesting aspects” (M2) and “risk areas considered more important” (M1). Senior management was, however, frustrated by what they considered to be the low uptake of offshoring. They decided to “up the ante” and make it “mandatory for each partner to send a fixed percentage of their audit hours to India” (D1). Mandating offshoring without carefully managing its introduction on the ground resulted in this hardline approach unexpectedly backfiring, with only “some people continu[ing] to send certain tasks to India” (D1). Certain partners even “refused [outright] to use the US-COC” (D1) for their audits, claiming that it was unsuitable for clients with tight deadlines or for so-called “real” audit work. It also led to onshore auditors devoting little time to selecting appropriate work to offshore, which resulted in the audit work that came back from the U.S.-COC being perceived as low quality:

I sent only small assignments to them [the U.S.-COC], such as [IFRS]-checklist or loading [trial balances] but real audit working papers [such as cash working papers reconciling the cash balance to the bank statements] were not executed by the [U.S.-COC]. (M2)

[The mandating of offshoring] led to friction [within EU-TAM] and people started accumulating hours [offshored to India] with little attention to organizing it well, which led to poor quality of work. (D1)

The low uptake of offshoring was also reflective of what was happening in other European Big 4 firms at this time who saw “the India effect remain[ing] modest for the time being” (PAB5). This resulted from onshore auditors reportedly “still

[having] some hesitation when it [came] to communicating in English” (PAB5) and feeling apprehensive about the potential loss of local audit jobs to offshore locations:

The potential loss of [local] jobs is also one of the inhibiting factors—[onshore] auditors think “that’s just not done.” (PAB5)

That said, senior management in EU-TAM admitted to making two crucial mistakes when mandating their offshoring arrangements. First, while convinced of the opportunities presented by offshoring, they had failed to clearly articulate and “sell” the business case to onshore audit teams. Second, insufficient time and resources had been committed to ensure a structured and smooth transition to the widespread use of offshoring within EU-TAM. They sought to correct these mistakes when they later engaged in a major redesign of their offshoring approach.

Phase 2—Redesigning the Approach to Offshoring

Technological advancement in the 2010s, such as cloud computing (Kshetri 2011), provided the Big 4 firms with “a variety of efficient and convenient methods to increase connectivity across geographies” (IPAB3). This enabled “more timely interactions and almost instantaneous delivery of the required audit materials” (IPAB3), purportedly creating a more “connected world” where “any [audit] work that can be done on computers, can be done anywhere in the world” (IPAB3):

Technology makes it easier for data to travel across borders in large numbers. This trend makes [audit] work easier to offshore. This is not a trend of auditing alone, but of every professional service organization. (PAB11)

Driven by enhanced remote collaboration and shared work arrangements (see also Canning et al. 2018), the Big 4 firms started to expand their captive offshore centers in India. Some U.S. based Big 4 firms had even started to “layer on more complex tasks in the offshore centers” and it had become possible for offshore employees to “ris[e] to senior positions in the auditing ranks” (BNEWS10). Influenced by these developments, a new head of operations¹⁹ decided to revisit EU-TAM’s use of offshoring. Aware of the previous challenges experienced at EU-TAM, he realized that fundamental design changes within the offshoring process were required to overcome the resistance to offshoring among onshore auditors and encourage its more widespread use. He developed a series of e-learning sessions to encourage support for the redesigned approach in which the business case for offshoring was more clearly articulated to onshore teams (see Table 1). The e-learning sessions explained to onshore auditors that offshoring was “needed to accommodate rising costs and staff shortages in [the home country]” (EU-TAM-eLearn1; EU-TAM-Webcast²⁰), so that EU-TAM could avoid having “to reject clients because [it did] not have enough human resources” (SA2).²¹ These design changes, which we elaborate on and analyze below, included the establishment of a new captive offshore center called the European captive offshore center, the creation of a “mid-office,” and the use of “interim facilitators.”

Establishing the European Captive Offshore Center (EU-COC)—Confronting Unintended Consequences

In 2015, EU-TAM launched a new captive offshore center—the European captive offshore center (EU-COC)²²—in India. EU-COC employees would work only on EU-TAM audits to ensure that EU-TAM had “full authority” (D1) over how the offshored work was undertaken:

We started the [offshore] audit delivery center at [EU-TAM], abbreviated as the [EU-COC], as a new initiative to make our audits even better. At each client, approximately 20 percent of the audit work can be performed remotely without direct client contact. This part can be done smarter and more efficiently—that is exactly what [EU-TAM] does in the [EU-COC]. (MID-Video)

The nature of the work offshored to India was still dominated by repetitive and standardized tasks²³ that were time consuming but “did not require a lot of judgment” (M2), with the intention of allowing onshore auditors “to focus on the more

¹⁹ The head of operations was responsible for all audit and assurance related operations within EU-TAM.

²⁰ See Table 1 for details of internal material accessed.

²¹ We found further support for claimed client rejection in the Big 4 firms’ transparency reports where it was reported that new clients could not be accepted due to inadequate resources. For example, one of the other Big 4 firms reported that “new engagements are accepted only when we know we have sufficient suitable resources and technical expertise available to guarantee a sufficiently high level of quality” (BIG4-Trans1).

²² EU-TAM made use of the U.S.-COC systems for payment and security of EU-COC employees as these systems were “already organized and accessible” (D1) but took responsibility for hiring Indian people to work in the EU-COC directly itself. The head of operations personally recruited the first 50 employees from business schools nearby the EU-COC (EU-TAM-Webcast).

²³ Examples of work performed by the EU-COC include the “pre-processing of [financial] information . . . necessary for each audit phase” and the “preparation of audit documentation in [EU-TAM] software using templates to support the [onshore] audit teams” (MID-Profile1).

interesting and complex accounts instead of focusing on documentation and processing” (EU-TAM-Webcast). In practice, however, these promised benefits did not transpire and the use of the EU-COC did “not have an impact on the complexity of tasks assigned to new hires” (AM2). Instead, the audit work returned by the newly created captive offshore center was reportedly of low quality causing further inefficiencies in the efforts required to rectify it as well as disrupting the on-the-job learning by the onshore audit assistants. We examine these consequences in depth in the remainder of the case narrative.

Defective audit work: a consequence of commodification. Public statements by the Big 4 firms suggest that “offshored work meets the same quality standards as work done in the United States” (BNEWS10). The captive offshore centers in India allegedly “work and document to global [Big 4 firm] quality standards” (BIG4-Trans3), “fall under the strict quality requirements set by the global [Big 4 firm] network” (BIG4-Trans5), and are “reviewed periodically by a team from the global [Big 4 firm] network” (BIG4-Trans5):

Once inside [the captive offshore center] you would not tell a difference compared to US offices in terms of design and equipment. Also, just as in any other [Big 4 firm] office, everyone here is professional, very friendly, hardworking, always willing to help, and committed to the [Big 4 firm] culture. (BIG4-Article1)

Offshore auditors working at the EU-COC reportedly “receive[d] training consistent with their [onshore] colleagues and their work [was] reviewed and supervised by [onshore] professionals” (BNEWS10). Offshore auditors at the EU-COC reportedly comprised experienced staff²⁴ with a “chartered accountant/certified public accountant certification” (EU-COC-Job2; EU-COC-Job3; EU-COC-Job4; EU-COC-Job5; EU-COC-Video). According to our interviewees, however, much of the work the offshore auditors returned was reportedly incomplete or of poor quality. The perceived lack of quality of work conducted by the EU-COC was attributed to offshore auditors “not hav[ing] the same substantive knowledge” (A1) that onshore auditors had:

I tend to compare [the captive offshore center in] India to a robot. If a robot cannot do it, then India cannot do it. I doubt that there is enough knowledge in India to handle something like specific client information or [onshore] regulations. (M2)

This, in turn, required the onshore auditors, at both lower and higher levels, to invest significant time following up and rectifying less complex and low risk work (see also [Leonardi and Bailey 2008](#)):

For example, I noticed during the offshoring of the planning phase of our audit that the delivered work was not executed at a sufficient level. In the end, you are performing this work by yourself because items remain open or they [the EU-COC employees] write sentences which make no sense. (SA3)

I could have performed the work better by myself. The file [of work] that I received back from the [EU-COC] consisted of 20 items that were marked as: “client [onshore] team to follow-up.” So I still needed to document and audit 20 items. (M3)

Anecdotal evidence from online blogs discussing the offshoring of audit work suggests that this negative experience is more widely shared in the profession. In discussing the quality of audit work conducted by captive offshore centers in India, several users—all claiming to work or have worked as onshore auditor in a Big 4 firm—noted that the quality of work completed by the captive offshore center “just isn’t the same” (Big 4 firm auditor, BLOG1) and often requires rectification:

The work comes back late [and] when the work does come back there are errors everywhere, so I have to spend time figuring out what is happening. I am seriously considering doing the work myself from scratch. It would probably save me time. (Big 4 firm auditor, BLOG1)

My first project as staff in compliance was fixing errors made by the [captive offshore center] in India and it took way longer than it would have if I had done it myself. (Big 4 firm auditor, BLOG1)

According to our interviewees, reviewing offshore audit work proved especially challenging for the onshore audit assistants who, similar to participants in [Popova and Wright’s \(2019\)](#) study, were less able to review work that they had not performed themselves in the first instance:

²⁴ Managers were expected to have “more than six years of accounting or equivalent experience” (EU-COC-Job 2, EU-COC-Job3), senior assistants were expected to have “more than two years of auditing experience” (EU-COC-Job4, EU-COC-Job5), and junior assistants were expected to have “Bachelor of Commerce, Bachelor of Business Administration, Bachelor of Management Studies, or a Bachelor of Business management” with a “minimum of 60% of equivalent grades in graduation” (EU-COC-Job1).

I noticed that the [onshore audit] assistants had problems with the [EU-COC] because they had also just started [their role]. (M1)

If you have never performed the work yourself, how can you review work executed by somebody else? (M2)

Instead, the more senior onshore auditors were forced to undertake this review task:

The follow-up items from the [EU-COC] were sometimes finished by the supervisor of those assistants. If the supervisors could not solve all the open items they came to me [manager] to solve them. (M1)

Following up the work of the [EU-COC] takes a lot of time. This not only costs the assistants time but also costs me [assistant manager] because sometimes I am doing overtime to finish the follow-up work we received from the [EU-COC]. (AM2)

Undertaking this work themselves goes against the rational principle of audit review, which is intended to lead to “error avoidance and correction and as a way of training and evaluating staff” (Pentland 1993, 614). Therefore, offshore auditors, who were not told about their errors, were unable to learn from them. The essential elements of training and future error avoidance were lost and offshore auditors were frequently viewed by onshore staff as incompetent and unreliable. Some onshore auditors within EU-TAM, however, recognized that by denying the offshore auditors feedback on their work, they were partly to blame for the perceived “lack of quality” (AM2) of work conducted by the captive offshore center (see also Andiola et al. 2018):

They [the offshore auditors] are currently not learning from the mistakes they have made earlier ... This is sometimes disappointing and perhaps something that we should communicate back [to the offshore auditors]. So better communication of feedback on the work completed, identifying areas of improvement for the next task. We [the onshore auditors] often neglect to do this because other work considered to be more urgent presents itself. (AM2)

Introducing inefficiency. A more flexible approach to offshoring, which involved less planning, was seen as more favorable as it would allow onshore auditors “to switch to India at the last minute when we [onshore auditors] know that we cannot complete tasks here [at EU-TAM] due to time pressure” (M1). However, for the redesigned offshoring process to function as intended, onshore audit teams were required to submit offshoring requests “well in advance of the audit” (M2). Yet, onshore auditors often “only start[ed] to think about the use of the EU-COC at the start of the audit” (AM1) because onshore auditors had either not yet been allocated to clients or EU-TAM “had not yet entered into an agreement with the client” (M1), which made planning to use the EU-COC very difficult:

They wait until that moment in time to request a specification from the client and the client does of course not respond immediately ... The fact that people here [in EU-TAM] do not plan well, does not assist the use of the [EU-COC] and it actually works against it. (AM1)

Obtaining documents from their clients in good time was reportedly also difficult, even from clients who appreciated that “the [audit] profession is potentially very suitable for offshoring” (M1) as it can make “the audit as efficient as possible” (AM1):

We still have a lot of trouble requesting documents on time ... The reality is that we [the onshore audit teams] as well as the client are always late with delivering documents to the [EU-COC]. (SA1)

Hence, many onshore auditors believed that the offshoring process was not efficient as it took them more time to plan for using the EU-COC than to complete the work themselves:

It now takes a lot of time in the initial phase to make all the logistical arrangements. Someone [within EU-TAM] spends as much time planning for the use of the [EU-COC] as that person would by doing the work themselves. (M2)

If I hear that we will use [EU-COC], then I have to search for, complete and submit the application form. In addition, I have to make sure that the client delivers invoices on time and that has to be forwarded to [EU-COC] etc. All in all, there are a lot of things that I need to arrange that take a lot more time than the four hours I would spend if I did it [the audit work] myself. (SA1)

Stifling on-the-job learning for audit assistants. A further unintended consequence arising from the use of the EU-COC was its impact on the on-the-job learning by onshore audit assistants (see also Westermann et al. 2015). As audit assistants were no longer exposed to basic audit training through audit documenting and processing work, their ability to subsequently audit more complex issues themselves was reportedly limited:

I think the tasks that the [EU-COC] are picking up are also the tasks that are useful to give a first year or second year [audit assistant] here so that they can gain experience with those tasks and build up experience. So that they [onshore assistant auditors] first learn the basics of the audit so that they can later apply the trick to more complex accounts. It sometimes seems that some [onshore] assistants find the concept of reliability of information rather abstract. This is because they sometimes start with accounts that are too complex. (M3)

Similar concerns have been expressed by professional accounting bodies, who expected that the “continuing trend for low-level transaction work to be offshored” would “create structural problems for professional accountants and the ‘ecosystem’ that includes, surrounds, supports and relies on it” (IPAB4):

There will be fewer opportunities for newly qualified accountants in the most developed [onshore] countries where outsourcing to offshore locations is most likely. More widely, there will also be fewer opportunities for career progression via the mid-tier roles that are becoming automated. (IPAB4)

Some interviewees were less concerned by this lack of basic training, believing instead that the onshore assistants’ new role would enhance their people management, critical thinking, and communications skills and, in turn, lead to improvements in future audits:

The assistants need to think more instead of only documenting when they review. For example, they need to think “is it logical that we document this and why do we document that?” I see it [offshoring work] as an opportunity for improvement for the assistants . . . The [EU-COC] really facilitates the development of skills as they [onshore audit assistants] will be supervising and reviewing people [at the EU-COC]. (AM1)

[Onshore] audit assistants will have client contact more quickly and they will learn how to review the work of others . . . They will learn how to communicate more. You might be less involved with [Microsoft] Excel, but more involved with the alignment of the [EU-COC] and other parties. These kinds of [communication] skills can be useful if someone becomes a manager. (SA2)

Nevertheless, it was also claimed that as the EU-COC would be undertaking work previously undertaken by onshore audit assistants, the assistants would be “forced to learn faster” (M2) and would be exposed to “more complex accounts sooner which [would] require them to become creative and have enough insight into the audit at an earlier point” (M2). Some senior managers within EU-TAM felt that this would provide junior assistants with a more satisfying work experience:

I hear from my students and recent graduates that in the early years they often have to do work at accounting firms that is below their level. There is some truth in that. By offshoring basic audit work, the work that remains in [EU-TAM’s home country] becomes more interesting for young employees. In this way, you can allow junior staff to focus more on the professional content of auditing. (EU-TAM senior manager cited in PAB6)

There were concerns that the steepness of the required learning curve for assistants in this new role was, however, too great. This could be concerning for EU-TAM especially as [Westermann et al. \(2015\)](#) find that the increasing complexity of technical accounting standards has led to even more seasoned auditing professionals having difficulty understanding and applying them:

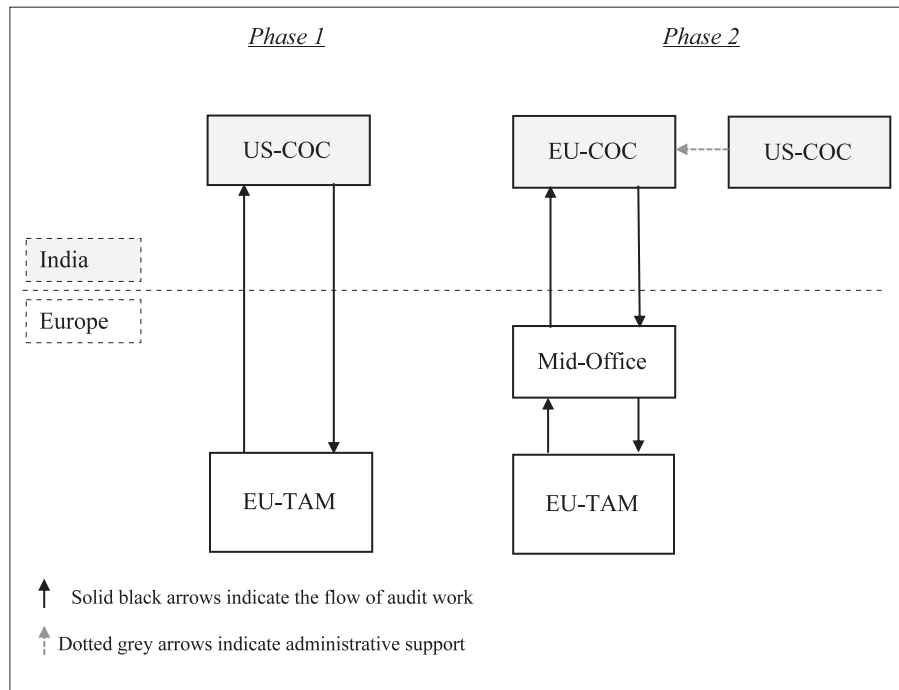
I think that the learning curve of the assistants will be impacted negatively. I think the idea behind the [EU-COC] is that the people over here can focus on more complex accounts. However, I do not think that a first year has the experience to work on these complex accounts. It will cost us a lot of time to teach the assistants these accounts. Instead, it would be better if they learn the documenting with easier accounts in order to ensure that they can use this skill later on in more complex accounts. In the end, I think that the learning curve will become steeper but less efficient. (M3)

Junior audit assistants would also be required to develop different skills as the emphasis of their work would shift toward the coordination and review of work conducted by the captive offshore center in India:

If the trend of [offshoring] continues, it will have a dramatic impact on our own [onshore] talent pool of highly educated people. They will be even more in demand, because then most of the work will involve high-quality coordination and relationship building work. Our [onshore] staff structure will therefore radically change, with many expensive employees and hardly any cheap ones. (EU-TAM partner cited in BNEWS7)

The [onshore] assistants will have a more coordinating role of the [EU-COC]. This [people management] skill will become more important in the future with the use of data analytics and IT in the audit. (M1)

FIGURE 2
The Structure of Offshoring in Phase 1 and 2



To summarize, while establishing the EU-COC was intended to bring benefits to onshore auditors by allowing them to focus on more complex interesting audit issues as well as making the audit process more efficient, what came to pass was somewhat different. The quality of the work performed by the EU-COC was reportedly low such that onshore auditors had to devote additional time to reviewing and rectifying it. This left less time for them to devote to the more complex and “interesting” audit issues. They also had to spend more time than expected planning to use the EU-COC, so much so that they believed it would be more efficient for them to do the audit work onshore rather than to offshore it. Hence, the claimed offshoring efficiencies were often not realized on the ground and instead raised “questions about the commercial success” of offshoring (Curtis and Turley 2007, 457). Finally, unanticipated changes also affected the on-the-job learning of the onshore audit assistants such that senior auditors frequently felt that the assistants had neither the skillset to review audit work nor were sufficiently equipped to perform the more complex audit work.

The Creation of a “Mid-Office”—Confronting Boundary Spanning Aspirations with Unintended Consequences

Seeking smooth connections—creating a boundary spanning unit. In his attempt to ensure a structured and smooth transition to the widespread use of offshoring within EU-TAM, the head of operations introduced what was termed “the mid-office”²⁵ (see Figure 2) in 2015. This office was situated in EU-TAM’s home country and had responsibility for defining within the redesigned audit structure the rules to be applied by both the onshore and offshore auditors:

You fill in the request form with the client details, number of hours, and the work that you want to offshore. You send this form to the mid-office and the mid-office processes the form and, if needed, asks additional questions. After that, you receive an e-mail with the confirmation and with the deadlines and when you need to deliver the documents [for example, bank statements for reconciliation of cash balances] to the [EU-COC]. (SA2)

²⁵ The mid-office employs a number of assistant managers who are trained financial auditors. Details of who is involved in the mid-office were disclosed on the internal EU-TAM website page where you can meet the mid-office team virtually and see which roles they have in the offshoring process (EU-TAM-Intranet).

All work conducted by the [EU-COC] is carefully reviewed by the mid-office to safeguard the quality of the work and to ensure that the [onshore] client facing team's request had been fulfilled. (Mid-office manager, MID-Profile1)

It was expected that the mid-office would serve a pivotal role as a “boundary spanning unit”—a specialized entity created for the sole purpose of mediating the flow of information between other organizational departments (Monteiro and Birkinshaw 2017)—by connecting the onshore and offshore teams and making the offshoring process more efficient:

The mid-office acts as the link between [onshore] client facing teams and the [EU-COC]. It plays a crucial role in the cooperation between these teams, the continuous monitoring of the quality and the planning of the work conducted by the [EU-COC] such that it meets the [onshore] client facing team's request. (Mid-office manager, MID-Profile1)

It may be efficient to work with an intermediary [the mid-office] in the sense that we [onshore auditors] do not spend the whole day answering questions from the [EU-COC]. (A1)

Mid-office employees were reportedly required to have “between 3 to 8 years of audit experience” and “hold or be studying towards a CA, CPA, or ACCA certificate” (MID-Job). To serve as the “linking pin” (MID-Job; EU-TAM-Intranet) between onshore and offshore audit teams, EU-TAM expected mid-office staff to be “open minded,” “strong communicators,” and “proficient in multiple languages” in order “to bridge cultural differences [and] bring different parties together” (MID-Job). As a boundary spanning unit, the mid-office was expected to establish a shared context in which it would coordinate the offshore and onshore audit teams (Monteiro and Birkinshaw 2017):

I am a manager in the mid-office. In this role I have been actively involved in the development, improvement, and expansion of this new branch within [EU-TAM]. Much of the practical [audit] work is carried out in India but managing [this offshored audit work] is my responsibility. I put together the [offshore] teams, manage them and review the work that comes back from [the EU-COC in] India. The great thing about my job is that I am very free to plan and organize my own activities ... Unlike a traditional [onshore] auditor, you really get to deal with the dynamics that come with connecting two teams. (MID-Video)

Staff working within the mid-office were responsible for “planning the work of a large group of [offshore audit] colleagues in India” as well as “reviewing the work prepared by the EU-COC to determine whether it meets the demands of client facing [onshore] teams” (MID-Job). The mid-office structure was designed to eliminate the necessity for a direct relationship between onshore and offshore auditors thereby allowing their distinct identities and associated core activities to remain intact (Carlile 2004; Zietsma and Lawrence 2010):

Because [mid-office employees] are the linking pin between two teams, [they] will also have to manage any tensions [between onshore and offshore auditors] and/or have to develop solutions to problems that might arise. (Mid-office manager job advert, MID-Job)

Details of the redesigned audit structure wherein all communication between onshore and offshore audit teams was managed by the mid-office were set out in one of the e-learning sessions (EU-TAM-eLearn3). The revised offshoring process is summarized in Figure 3.

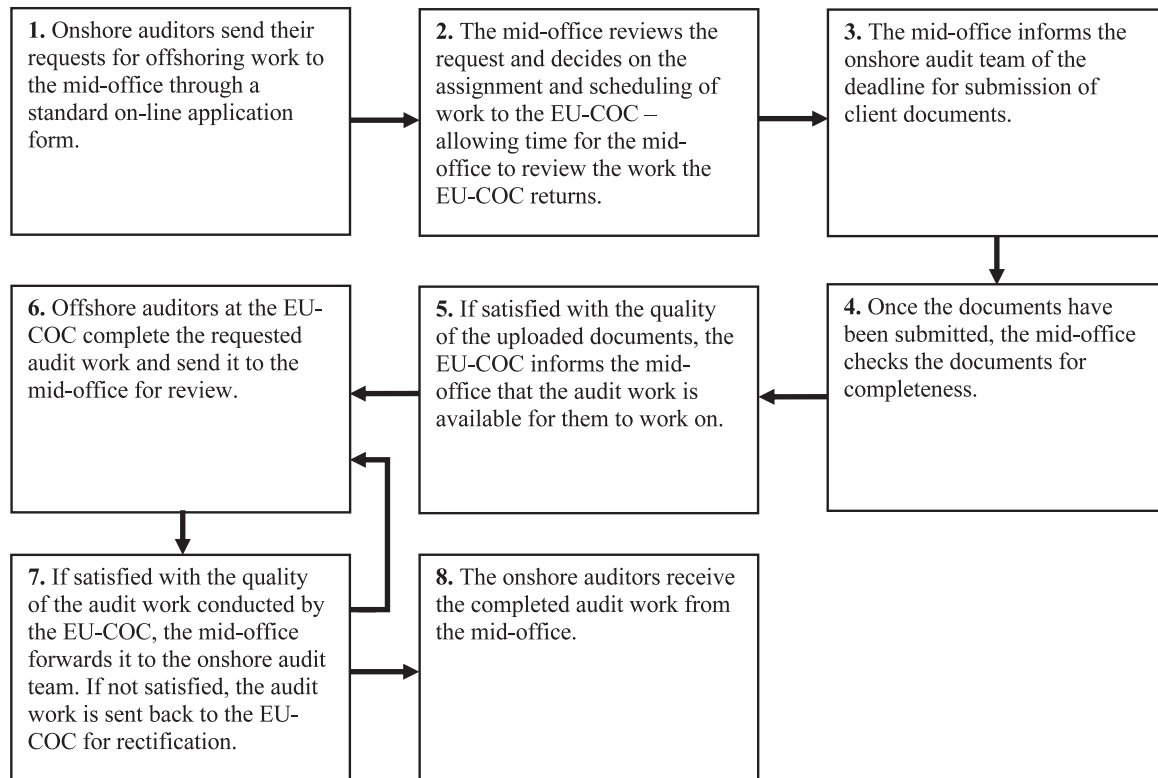
Reinforcing boundaries—The unintended consequences of the mid-office structure. While it was expected that the quality of audit work offshored would be consistently higher because of the additional “monitoring and review by several people” (D1), including the mid-office (see also Leonardi and Bailey 2008), in practice this was not the case. Most of our interviewees lauded the original offshoring process (outlined in Phase 1) where they were able to make “contact directly” (M3) with offshore auditors:

[In the earlier offshoring process] the onshore audit team and the team in India regularly contacted each other, gave advice and feedback about the work that had been done and the team in India processed the feedback in the [next] assigned work. (D1)

It was widely believed that the introduction of the mid-office had led to offshore auditors receiving confused feedback through communication “noise” or no feedback at all. The introduction of the mid-office was seen to act as “an extra link in the chain” (A2) and “the more links in the chain, the more noise in the communication” (A1). Hence, the mid-office was perceived as contributing to rather than “preventing miscommunication” (SA2):

It [audit work] has to go through all these links [the mid-office] before it has arrived in India. I would like to connect directly with someone [at the EU-COC] who conducts my work ... The problem with all those different parties involved is that communication is disrupted (AM1).

FIGURE 3
The Redesigned Offshoring Process in Phase 2



Source: EU-TAM-eLearn3.

I think the process would be better if you could contact the persons in India directly. It is some kind of chain that is used to inform somebody at the end. This information will always be changed during the chain. (A1)

When contact was direct, the offshore auditors were able to ask questions and, in this way, seek clarification immediately from the onshore auditors and learn from the feedback in undertaking their audit work (see also [Andiola et al. 2018](#)):

They [offshore auditors] could have called and discussed these [open] items for 5 to 10 minutes. Then the quality immediately goes up. But calling from India is now stopped. We do it all through a channel, the mid-office now and while the mid-office informs us that differences have been identified, they have not yet been sorted out. I think that India [offshore auditors] can develop better when [they] explain the differences and talk [directly] . . . to us [onshore auditors]. (SA2)

Interviewees also considered direct communication as more effective because onshore auditors had the relevant client knowledge (see also [Aron and Singh 2005](#)) and were therefore better equipped to communicate audit requirements with offshore employees compared to the mid-office:

The intermediary [mid-office employee] is often a person who is not involved with the [onshore audit] team that is working on a specific assignment . . . We [as onshore auditors] are much better able to explain things [to the EU-COC] than an intermediary [the mid-office], because they just disrupt the communication. (A1)

While it was claimed that having an extra pair of review eyes, by means of the mid-office, would enhance the quality of the work offshored, some interviewees were skeptical of the reviews undertaken by mid-office staff as they frequently failed to identify incomplete audit work returned by the EU-COC:

For example, in the sample we checked if the cut-off [of the invoices] was correct. However, the [EU-COC] did not check the cut-off of the invoices, although this is mentioned in the risk procedures of the file. This was also not noticed by the other reviewers [such as the mid office]. (AM2)

Hence, it is not surprising that the quality of offshored work returned to the onshore teams was reportedly low as the offshore teams were not receiving feedback from the mid-office that their work was defective. This contrasts with the findings of [Leonardi and Bailey \(2008, 424\)](#) whose onshore engineers saw few errors in the work of the offshore engineers. Their equivalent mid-office (on-site coordinators) picked up such errors and sent work back to the offshore site for further revisions when it was considered not to be up to standard, thereby protecting the onshore engineers from poor quality offshore work. In our case, instead, the mid-office was viewed as a bureaucratic boundary that prevented onshore auditors from dealing directly with offshore auditors when issues arose. This caused scheduling delays and perceived inflexibility on the part of the offshore auditors. Perhaps directing this criticism at the offshore auditors seems to be somewhat misplaced as the problem appeared to lie not with them but with the mid-office and the role it played in trying to control the process:

I do not think that the offshoring process is very flexible. I think the main reason for this is the many links that there are between the [EU-COC] and the [onshore] engagement team. For example, the mid-office accepts the request and communicates the request to India. I think it is better if there is a small change in the request or a last-minute request, that we can directly contact the [EU-COC] in India. (AM1)

The mid-office structure reportedly imposed additional time pressure on onshore auditors, so much so that they chose not to share feedback with offshore employees on the work that they had undertaken. As highlighted by [Westermann et al. \(2015, 881\)](#) feedback has a “dramatic impact on auditors’ ability to learn” ([Andiola et al. 2018, Goodman 1998](#)). In our case, there was a risk of no feedback and offshore employees, therefore, frequently failed to learn from their mistakes.²⁶ As alluded to earlier, this lack of feedback may help explain the reportedly persistent quality issues that onshore auditors encountered with the work offshored under the redesigned offshoring process:

The [EU-COC auditors] never sees their faults so they cannot learn from their mistakes. I have less confidence in their work because I know they will make the same mistakes next time I use them on audits. (M3)

I acknowledge that we [onshore auditors] do not have time to give feedback [to the offshore auditors] about the work that is performed because we [onshore auditors] are busy finishing the audit. So, they [offshore auditors] are not learning from the mistakes they made earlier. (AM2)

To summarize, it was anticipated that creating the mid-office, a specialized boundary spanning unit ([Monteiro and Birkinshaw 2017](#)), would lead to a smooth transition in the widespread use of offshoring by enhancing the offshoring process experience. By “actively intervening” in the interactions between onshore and offshore teams, the mid-office was expected to “create positive outcomes . . . by resolving misunderstandings, managing conflicts, [and] building inter-group trust” ([Barner-Rasmussen et al. 2014, 888](#)). However, the mid-office was instead seen as bringing “noise” to the system, leading to confused or no feedback to offshore auditors on the work they were performing and sending to the onshore auditors. Hence, onshore auditors reported disappointment in the persistent errors they found in this work and did not perceive the mid-office employees to be operating as a boundary spanners-in-practice ([Levina and Vaast 2005](#)).

Employing Interim Facilitators—Intended Knowledge Sharing Confronts Unintended Blockages

Shortly after the creation of the mid-office in 2015, EU-TAM sought to bolster its boundary spanning efforts by introducing “interim facilitator” roles. Interim facilitators were experienced assistant managers from the mid-office who were “seconded to work in India for a 6-month period to manage teams” (D1) and to train, educate and guide the offshore auditors at the EU-COC “on the local [onshore] audit standards that they were expected to apply in their audit work” (MID-Profile1):

The [interim facilitator] is located in India and has a similar [managing] role. Together we ensure that the entire audit process runs smoothly from start to finish and that we can deliver a quality project to the [onshore] audit teams. (Mid-office manager, MID-Video)

Interviewees believed that having the interim facilitators at the EU-COC “worked well” as they “already [knew] how to communicate with the teams” (M1) when work was sent across from the onshore team. Interim facilitators were able to monitor how this work was performed by the offshore team and check that it was performed correctly before sending it back to the onshore team:

They [offshore auditors] do the work and it is being watched and assessed by the “interim facilitators” and adjusted by the auditor in India as required and afterwards it is placed in the file and signed off by us [onshore auditor]. (D1)

²⁶ [Andiola et al. \(2018\)](#) provide insight into how feedback is perceived by offshore auditors when it is provided by onshore or offshore supervisors.

By “acting as channels through which . . . messages [were] delivered and interpreted” (Barner-Rasmussen et al. 2014, 888) and by educating offshore employees on onshore audit standards and practices, the interim facilitators sought to improve the boundary spanning ability of the mid-office by facilitating shared understanding between mid-office and EU-COC employees. According to our interviewees, remaining re-located at the EU-COC for significant periods allowed interim facilitators to observe the work and organizational culture of the EU-COC and to uncover where synergies and/or blockages were likely to arise in the overall offshoring process. Hence, they reportedly *facilitated* a two-way knowledge exchange—one involving the sharing of audit knowledge with the EU-COC or acting as a knowledge broker, and the other encompassing the sharing of “cultural” knowledge about the EU-COC with onshore teams and knowledge about EU-TAM to offshore auditors. In a way, their role implies the combination of knowledge delivery with knowledge gathering roles that connected the two offices (Barner-Rasmussen et al. 2014; Birkinshaw et al. 2017):

The interim facilitators in India train the people in India about our culture. For example, during the first week of training it is mentioned that they have to appear on time at work. (D1)

These people [interim facilitators] who go there will know very well how the [EU-COC] works and then they can also teach us [onshore auditors] about the [EU-COC]. (M2)

While the interaction between onshore and offshore employees was supposedly improved by sending interim facilitators to the EU-COC, interviewees were concerned by the interim facilitators’ lack of “practical experience” (M1) and knowledge of clients:

I doubt whether there is enough knowledge in India about my client. You can argue that there are interim facilitators in India who view it but what do those people know about my client? Can they interpret, for example, whether operational costs are properly classified? (M2)

This perceived lack of practical experience was due to the interim facilitator positions being filled by employees from the mid-office²⁷ rather than by onshore auditors. This helps explain their widely perceived inability to pick up mistakes made by the offshore team, as reflected by the high number of errors reported by interviewees of offshore work that had been reviewed by the interim facilitators:

You [onshore team] finally receive back the document signed by the interim facilitator. But when you open the document, you still find quite a number of comments where you yourself are kept busy for a long time. In my view, too many mistakes are made. (M1)

The interim facilitators’ perceived inability to identify mistakes made by offshore teams helps further explain the feedback problem identified earlier in respect of the mid-office. As indicated by Leonardi and Bailey (2008), a lack of occupational knowledge or work experience could act to “block” rather than transfer knowledge to the offshore team (see also Carlile 2002). In addition, while interim facilitators were able to “see people working [at the EU-COC]” and were able to identify “what could be improved with regards to the work and communication” (AM2), they seemingly did not assist in facilitating closer bonds between onshore and offshore audit teams:

In the end, you still miss that connection that should arise [between onshore and offshore staff]. You just never really feel that they [the offshore employees] are part of the [audit] team. That might be a bit of a bad thing. (A1)

It would be ideal if you have a fixed number of senior [onshore audit] people to send out there [to the EU-COC] as the interim facilitators. I do not believe that an interim facilitator can assess all those activities [conducted at the EU-COC] in a short period of time, they can only check whether the quality [of work conducted at the EU-COC] is consistent. (M2)

While our interviewees felt that there were certain benefits from having interim facilitators in place, in terms of providing an additional layer of review of offshored work, they nonetheless did not view the interim facilitators as boundary spanners-in-practice (Levina and Vaast 2005). The dominant view was that to become legitimate boundary spanners between onshore and offshore auditors, thereby ensuring that offshoring within EU-TAM functioned as intended, the interim facilitators would reportedly need greater practical audit experience and client knowledge. Furthermore, the onshore auditors noted that “communication simply need[ed] to improve and the integration between the team in the [home country] and India need[ed] to be better” (AM2) for offshoring to operate as envisioned. To facilitate better communication and integration between onshore

²⁷ Only (assistant) managers within the mid-office were eligible for a secondment at the EU-COC (MID-Profile1).

and offshore audit teams, some of the Big 4 firms have recently started to experiment with the secondment of offshore auditors to onshore locations:

The best of the [offshore auditors] will have a chance to go to the United States for a rotation and bring back their experience and expertise. (BIG4-Article1)

The Future of Offshoring: Partner Persistence in the Face of Adverse on-the Ground Consequences

The head of operations continually promised that tangible benefits would come from the revised approach to offshoring. He preached patience when warning that “it would take several years before [using the EU-COC] w[ould] pay off” (A2). However, the onshore auditors we interviewed were unconvinced. Many interviewees claimed that “more enthusiasm for offshoring [was being shown] at the higher levels [in EU-TAM]” (M1) than by the lower levels where there was a noticeable “resistance to using the [EU-COC]” (SA1) given the “experiences in the team[s]” (M1) of using it in practice. These experiences, as discussed above, revolved around the unintended adverse consequences of the redesigned approach to offshoring: poor quality audit work performed in the EU-COC leading to onshore audit work inefficiencies; disruption to on-the-job learning by onshore audit assistants; ineffective lines of communication between onshore and offshore employees resulting from the mid-office structure; and nominated interim facilitators failing to act as boundary spanners-in-practice. That said, offshoring remains in use within EU-TAM with all partners submitting a certain percentage of their audit work to the EU-COC. Partners remain hopeful that the lead-time for jobs will eventually shorten and that the quality of audit work undertaken by the EU-COC employees will improve as their knowledge and experience increases:

I have confidence that the lead times of the [EU-COC] will be shorter. It is logical that there are still some problems . . . I think that we should be realistic about the process of implementing a new way of working, and that we do not complain after two years that it is not working fluently. (M2)

VI. DISCUSSION AND CONCLUSIONS

Like many other practices underpinning the globalization of professional work, offshoring is often depicted as an unproblematic practice with many assumed benefits such as cost reductions and enhanced opportunities for onshore professionals (Downey 2018; Durocher et al. 2016). Our case study in a Big 4 professional services firm (code-named EU-TAM), however, unveils that integrating offshoring into the audit process is not without challenges and “involves profound alterations at the . . . occupational and individual levels” (Durocher et al. 2016, 84). By adopting a qualitative research approach, we sought to understand the intended and unintended consequences of offshoring for auditors and the audit process. Our case study responds to calls for research into the process of offshoring audit work and contributes to a better understanding of the challenges associated with facilitating the integration between onshore audit teams and offshore auditors located in captive offshore centers in low-cost countries like India (Downey 2018). On a broader level, our findings contribute to research seeking a richer understanding of the audit process and the nature of the auditor’s work in a world “where globalizing discourses increasingly resonate” (Canning et al. 2018; Durocher et al. 2016, 70; Power and Gendron 2015). Below, we reflect on our findings in the context of prior empirical work and consider their theoretical implications. First, we mobilize the concept of “boundary spanning” (Barner-Rasmussen et al. 2014; Birkinshaw et al. 2017; Fennell and Alexander 1987; Schotter et al. 2017) to conceptualize how EU-TAM sought to create linkages between onshore and offshore auditors in an effort to facilitate the coordination of audit work across multiple and overlapping boundaries (Birkinshaw et al. 2017; Levina and Vaast 2005; Monteiro and Birkinshaw 2017; Schotter et al. 2017). Second, the distinction between four core boundary spanning functions—*exchanging*, *linking*, *facilitating*, and *intervening* (Barner-Rasmussen et al. 2014; Birkinshaw et al. 2017)—is used to unpack “the joint role of organizational and individual factors in dealing with the complexity associated with boundary spanning” (Schotter et al. 2017, 410) in the context of offshoring audit work. Finally, we draw on the notions of “nominated boundary spanners” and “boundary spanners-in-practice” (Levina and Vaast 2005) to characterize the role of individual staff members in the process through which EU-TAM sought to span the boundaries between onshore and offshore auditors.

This study extends empirical work on the offshoring of financial audit work. Prior research recognizes that offshoring is producing “dynamic” changes in the audit process (Downey 2018; Popova and Wright 2019), but provides little empirical insight into how such changes are experienced by auditors. Our in-depth case analysis allowed us to uncover how onshore auditors experienced the integration of offshoring into the audit process. From the management literature we know that effective offshoring “requires close collaboration amongst all participants” (Levina and Vaast 2008, 307). The management and coordination of work and people across the multiple and overlapping boundaries that characterize offshoring arrangements is, however, highly complex (Barner-Rasmussen et al. 2014). Offshoring presents a context in which boundary spanning is particularly challenging due to the high degree of dependence and knowledge asymmetry between onshore and offshore

auditors (Tippmann et al. 2017). Our analysis of the evolution of offshoring within EU-TAM uncovered a range of boundary spanning activities with intended and unintended consequences for the interaction between onshore and offshore auditors.

The first phase of our narrative described how an individual director trialed offshoring within EU-TAM by sending work to the captive offshore center operated by its U.S. member firm in India (U.S.-COC). During this first phase, the director was not officially nominated to construct links with the U.S.-COC; instead he demonstrated “entrepreneurial qualities” in that he responded to “an opportunity that [was] lying unfulfilled” (Birkinshaw et al. 2017, 431). He saw offshoring as a solution to an emerging staffing crisis and as a way to cut costs. As a result, the initial interactions between the director and offshore auditors “happen[ed] [quite] naturally and without any sort of external intervention” from EU-TAM’s senior management (Birkinshaw et al. 2017, 431). According to Birkinshaw et al. (2017) this is common for *boundary spanners-in-practice*—individuals who are able to span the boundaries between different contexts (Langley et al. 2019; Levina and Vaast 2005)—who take the initiative and pro-actively “seek opportunities to mediate the flow of information” between different contexts (Birkinshaw et al. 2017, 431, emphasis added).

The director demonstrated three essential characteristics that enabled him to become a *boundary spanner-in-practice*. First, he obtained legitimacy as a participant in both the onshore and offshore “field” by holding a senior position within EU-TAM and spending considerable time with the offshore auditors in India (Levina and Vaast 2005). Second, he was able to persuade some of his colleagues within EU-TAM to send work to India. This suggests that he was able to operate as a “legitimate negotiator,” i.e., he had the “symbolic capital that ma[d]e others see [him] as being capable of reshaping . . . [audit] practices in the field” (Levina and Vaast 2005, 353). Third, he “engage[d] in boundary spanning because [he] develop[ed] an inclination to do so” due to the “perceived advantages [he] associated with spanning boundaries,” not because senior EU-TAM partners instructed him to do so (Levina and Vaast 2005, 353). By *linking* onshore and offshore auditors and *facilitating* regular contact and feedback sharing, the director was reportedly able to bridge most of the boundaries between onshore and offshore auditors (Birkinshaw et al. 2017; Levina and Vaast 2005).

Convinced by the demonstrated benefits of offshoring and in an effort to increase its uptake, EU-TAM’s senior management made it mandatory for all audit partners to offshore a percentage of their audit hours. This shift away from the more gentle persuasion efforts of the director, however, had the unintended consequence of widening the boundaries between onshore and offshore auditors (Levina and Vaast 2008). Partners were required to offshore a minimum amount of hours, but received little or no guidance on the type of work appropriate for offshoring or on how to best communicate with the offshoring center operated by its U.S. member firm in India (the U.S.-COC). This resulted in disappointment with the quality of work returned by the U.S.-COC and led to many onshore auditors abandoning the practice. This situation illustrates that the boundaries between onshore and offshore auditors are not stable and pre-given, as is often assumed in the boundary spanning literature (Langley et al. 2019), and can shift due to the unintended consequences of changes in the offshoring arrangement.

Phase two of our case narrative described how a new head of operations revisited EU-TAM’s approach to offshoring. Under the redesigned approach, some of the boundary spanning activities previously undertaken at the individual level became institutionalized in organizational structures and processes. This was intended to make possible the wider adoption of offshoring within EU-TAM by limiting the dependence on the boundary spanning skills and efforts of specific individuals like the director (Schotter et al. 2017). The boundary spanning structures and processes introduced by EU-TAM in phase two included: training sessions for onshore auditors; the establishment of a new captive offshore center in India dedicated to EU-TAM clients (the EU-COC); the creation of the “mid-office”; and the secondment of mid-office managers (interim facilitators) to the EU-COC. While these changes were designed to overcome the resistance to offshoring among onshore auditors and to make the offshoring of audit work more efficient, we uncovered several unintended consequences. For example, our interviewees indicated that the low quality and incompleteness of work returned by the EU-COC required onshore auditors to spend additional time reviewing and rectifying mistakes, leaving less time for the completion of more complex and “interesting” audit issues (see also Downey 2018).

Instead of spanning boundaries between onshore and offshore auditors, the newly created EU-COC seemingly reinforced them. Aware of the need to forge closer links, the new head of operations introduced the “mid-office” as a specialized boundary spanning unit situated in EU-TAM’s home country (Birkinshaw et al. 2017; Monteiro and Birkinshaw 2017). As a boundary spanning unit, the sole raison d’être of the mid-office was to actively *intervene* in the interaction between onshore and offshore auditors to reduce misunderstandings, build trust, and improve the flow of information between the two groups (Barner-Rasmussen et al. 2014; Monteiro and Birkinshaw 2017). The creation of the mid-office was intended to enable smoother interactions by creating a dedicated space to mediate relations while “allowing participants [onshore and offshore auditors] to remain behind . . . established boundaries” (Birkinshaw et al. 2017; Langley et al. 2019, 723; Pawlowski and Robey 2004).

The resulting *reconfiguration* of the boundaries between onshore and offshore auditors, however, had the unforeseen consequence of exacerbating, instead of easing, the communication and quality problems experienced by onshore auditors. A clear separation between “us” and “them” was constructed (Barrett et al. 2005; Hanes 2013) and was worsened by the restrictions imposed on onshore employees having a direct relationship with EU-COC employees. The prevention of direct

contact between onshore and offshore auditors had the unintended consequence of transforming the mid-office into a “boundary roadblock” (Carlile 2002, 451) that encouraged fragmentation (Durocher et al. 2016).

EU-TAM attempted to address the perceived inadequacies of the mid-office arrangement by seconding assistant managers from the mid-office to India to *facilitate* smoother interactions between mid-office employees and the EU-COC. By observing the work, experiencing the culture, and educating offshore employees on onshore standards and practices, EU-TAM sought to transform mid-office managers into boundary spanners-in-practice—individuals able to navigate and negotiate the boundaries between the onshore and offshore auditors (Levina and Vaast 2005). While the interim facilitators reportedly improved the communication, their lack of practical audit experience and client knowledge prevented them from identifying mistakes made by the EU-COC. Consequently, the interim facilitators were not seen as legitimate participants or negotiators in the work relationship between onshore and offshore auditors (Levina and Vaast 2005, 353). By not being the final users of work produced by the EU-COC, mid-office employees and interim facilitators may also have been less inclined—compared to the EU-TAM director in Phase 1—to span the boundaries between onshore and offshore auditors (Levina and Vaast 2005).

Our analysis also shows how the introduction of the EU-COC and the mid-office structure influenced the learning process of both onshore and offshore auditors. Novice auditors learn how to master the “craft” of auditing through the completion of progressively more complex work in a closely supervised environment (Westermann et al. 2015). The reduced exposure of onshore audit assistants to basic audit training through audit documentation and processing work reportedly stifled their on-the-job learning. This contrasts with the findings of Popova and Wright (2019), who found that offshoring lower-level audit tasks does not hinder, and may even benefit the experiential learning of novice auditors. We uncovered that novice auditors in EU-TAM were exposed to more complex work at an earlier stage and were expected to learn faster. This finding could be concerning given that even experienced auditing professionals encounter difficulties understanding and applying increasingly complex accounting and auditing standards (Westermann et al. 2015). Not all of our interviewees shared this concern, with some noting that the offshoring of basic audit tasks would enhance the higher-level skills of audit assistants such as their ability to communicate, manage people, and think critically.²⁸ This contrasts with Westermann et al. (2015, 893) who found that reduced face-to-face interaction with other auditors and with audit clients limits the ability of auditors to “learn how to ‘read people,’ think critically and probe for answers.” We also uncovered evidence suggesting that the introduction of the mid-office reduced the learning opportunities for offshore auditors as they no longer received feedback from or interacted directly with the onshore audit team. One-on-one interaction between more senior auditors and novice auditors and face-to-face feedback are essential elements of auditor training and future error avoidance (Westermann et al. 2015).

Overall, our findings demonstrate that global organizational boundaries are capricious, they inevitably engender friction, and they are far from being easily manageable. We find that global organizational boundaries, at least in the context of offshoring audit work, are not as stable and pre-given as is often assumed in the boundary spanning literature (Langley et al. 2019). Even the so-called “traditional drivers of boundaries . . . such as culture and geography are evolving and changing” (Schotter et al. 2017, 409), requiring global organizations to continuously adapt and re-configure their boundary spanning strategies. Our findings support prior literature on multinational organizations that suggests that boundary spanning functions can only be formalized to a certain extent (Mäkelä, Barner-Rasmussen, Ehrnrooth, and Koveshnikov 2019; Schotter et al. 2017), primarily due to the critical role that the skills and efforts of individual employees—such as the director in our case—play in the effectiveness of boundary spanning (Birkinshaw et al. 2017; Kane and Levina 2017; Levina and Vaast 2005; Roberts and Beamish 2017; Schotter et al. 2017). Within EU-TAM, the institutionalization of boundary spanning functions in formal structures and processes had the unintended consequence of widening the boundaries between geographically, culturally, and linguistically dispersed employees. While intended to improve linkages between onshore and offshore auditors, the creation of a specialized boundary spanning unit (the mid-office) had the opposite effect of blocking connections and evoking “ethnocentrism,” i.e., the “tendency of a group to consider its own members and values as superior to the members and values of other inferior groups” (Downey and Westermann 2021, 1423).

Recent research on global group audits suggests that “intergroup contact” through secondment or site visits can be an effective way to reduce such ethnocentrism as it enables the group auditor to build an appreciation of the perspective of the component auditor (Downey and Westermann 2021). However, in our case the secondment of mid-office employees to the EU-

²⁸ Schaefer and Alvesson (2020) stress that scholars should not uncritically accept statements made during interviews. The authors suggest *source critique*—“a careful evaluation, reflection, questioning, rejection, and probing of interview accounts (and other empirical material)”—is essential to obtain “strong evidence for derivative knowledge claims” in qualitative research (Schaefer and Alvesson 2020, 33). Interviews are not neutral, and answers given can be influenced by a range of factors including time, space, gender relations, power relations, organizational norms, societal norms, and mutual expectations. Hence, Schaefer and Alvesson (2020) urge qualitative researchers to pay close attention to “signs for expressions of political correctness, norms for corporate ideology, exercise in “management lingo,” situated identity work, or efforts to make the researcher happy” (p. 40). In our case, we acknowledge that it could be that interviewees who argued that the offshoring of basic audit tasks enhances the higher-level skills of audit assistants merely reiterated their firm’s frontstage rhetoric regarding the alleged benefits of offshoring.

COC did not have the desired effect of facilitating better linkages between onshore and offshore auditors (Downey and Westermann 2021). The findings of Downey and Westermann (2021) suggest that seconding onshore auditors, instead of mid-office employees, may prove to be more effective to reduce the clear separation between “us”—onshore auditors, and “them”—offshore auditors. Secondment to India would allow onshore auditors to “observe and experience first-hand the socio-cultural norms and conditions under which the [offshore auditors] operate” (Downey and Westermann 2021, 1427) and help onshore and offshore auditors to better understand and appreciate each other.

Our findings also suggest that the effectiveness of boundary spanning is highly dependent on *de facto* boundary spanners (Mäkelä et al. 2019). *De facto* boundary spanners, like the director who trialed offshoring within EU-TAM, are “driven by intrinsic motivation and a personal inclination to connect people or knowledge” (Levina and Vaast 2005; Mäkelä et al. 2019, 336) even if this does not form part of their formal role or position within the organization (Barner-Rasmussen et al. 2014). This echoes prior work on boundary spanning in global organizations and suggests that *nominated boundary spanners*—individuals formally assigned by an organization to perform boundary spanning activities—may not always be the “most active or effective in such roles, wasting substantial organizational resources” (Levina and Vaast 2005; Mäkelä et al. 2019, 336). This poses significant challenges for the coordination of (audit) work across different national, cultural, institutional, and organizational contexts (Kane and Levina 2017; Schotter et al. 2017) as organizational structures, processes, and roles are generally “easier to influence than personal characteristics and competencies of individuals” (Mäkelä et al. 2019, 335). To better equip auditors with the skills they need to communicate and collaborate across the multiple and overlapping boundaries that characterize offshoring arrangements, the Big 4 firms may need to pay more attention to the development of boundary spanning capabilities as part of the on-the-job learning of audit staff (see also Popova and Wright 2019; Westermann et al. 2015).

Furthermore, universities may need to review to their curricula to ensure that audit graduates will have the skills required to operate in an ever-changing audit environment (Canning et al. 2018; Durocher et al. 2016; Popova and Wright 2019). That said, the focus of universities should not be limited to the production of “useful [audit] machines” (Nussbaum 2010, 2), especially when this involves facilitating practices, like offshoring, which may be detrimental to the profession in the longer run. In an era characterized by widespread concern about the quality and social significance of the audit, it is arguably essential that auditing students are invited to criticize the *status quo* and encouraged to re-imagine the audit “in ways that could make a more direct and valued contribution to society” (Humphrey, Sonnerfeldt, Komori, and Curtis 2021, 447; Nussbaum 2010). As recent research suggests that early career auditors often struggle to influence professional debates (Detzen, De Vries, and Wong 2021), more could also be done to ensure that graduates are able to effectively “deploy the political craft” (p. 578) that is needed to make a difference and instigate change in the auditing profession.

Whereas we have uncovered some of the intended and unintended consequences of the offshoring of audit work for onshore auditors in this paper, there is an opportunity for future research to consider the experiences of offshore auditors. To date, little is known about the training and day-to-day practices of those working within the captive offshore centers operated by the Big 4 firms in countries like India.

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APPENDIX A

Detailed Overview of the Documents and Digital Evidence Collected in the Third Round of Data Collection

Reference	Year	Source	Short Description
EU-TAM			
EU-TAM-Annual	2017	EU-TAM annual report 2016–2017	Annual report published by EU-TAM.
EU-TAM-Article	2018	EU-TAM news article	A short interview with the Head of Operations (HOO) of EU-TAM published in the external newsletter of EU-TAM.
EU-COC-Job1	2019	EU-COC job advert	Job advert for an analyst in the European Captive Offshore Center (EU-COC) in India.
EU-COC-Job2	2019	EU-COC job advert	Job advert for an audit manager in the European Captive Offshore Center (EU-COC) in India.
EU-COC-Job3	2019	EU-COC job advert	Job advert for an audit manager in the European Captive Offshore Center (EU-COC) in India.
EU-COC-Job4	2019	EU-COC job advert	Job advert for senior audit staff in the European Captive Offshore Center (EU-COC) in India.
EU-COC-Job5	2019	EU-COC job advert	Job advert for senior audit staff in the European Captive Offshore Center (EU-COC) in India.
EU-COC-Profile1	2018	Professional profile page of offshore auditor	Professional profile page of an offshore auditor working for the European Captive Offshore Center (EU-COC) in India.
EU-COC-Profile2	2020	Professional profile page of offshore auditor	Professional profile page of an offshore auditor working for the European Captive Offshore Center (EU-COC) in India.
EU-COC-Profile3	2020	Professional profile page of offshore auditor	Professional profile page of an offshore auditor working for the European Captive Offshore Center (EU-COC) in India.
EU-COC-Profile4	2020	Online profile of the EU-COC	Online profile page of the European Captive Offshore Center (EU-COC) in India.
EU-COC-Profile5	2020	Online profile of the EU-COC	Webpage providing an overview of the activities undertaken at the European Captive Offshore Center (EU-COC) in India.
EU-TAM-Trans1	2014	TAM transparency report 2013–2014	Transparency report published by EU-TAM to inform stakeholders about the strategy, governance structure, internal quality and control, ethical requirements, and human resource strategy of the firm.
EU-TAM-Trans2	2016	TAM transparency report 2015–2016	Transparency report published by EU-TAM to inform stakeholders about the strategy, governance structure, internal quality and control, ethical requirements, and human resource strategy of the firm.
EU-TAM-Trans3	2018	TAM transparency report 2017–2018	Transparency report published by EU-TAM to inform stakeholders about the strategy, governance structure, internal quality and control, ethical requirements, and human resource strategy of the firm.
EU-TAM-Trans4	2019	TAM transparency report 2018–2019	Transparency report published by EU-TAM to inform stakeholders about the strategy, governance structure, internal quality and control, ethical requirements, and human resource strategy of the firm.
EU-TAM-Trans5	2020	TAM transparency report 2019–2020	Transparency report published by EU-TAM to inform stakeholders about the strategy, governance structure, internal quality and control, ethical requirements, and human resource strategy of the firm.
EU-COC-Video	2018	Video presentation	Short recruitment video outlining the role of audit assistants at the EU-COC in India.
The Mid-Office			
MID-Job	2018	Mid-office job advert	Job advert for a mid-office manager.
MID-Profile1	2018	Professional profile mid-office manager	Professional profile page of a junior mid-office manager.
MID-Profile2	2018	Professional profile mid-office manager	Professional profile page of a senior mid-office manager.
MID-Profile3	2020	Professional profile interim facilitator	Professional profile page of an interim facilitator.
MID-Video	2016	Video presentation	Short video outlining the offshoring of audit work and providing insight into the work of the mid-office and the EU-COC.

(continued on next page)

APPENDIX A (continued)

Reference	Year	Source	Short Description
Other TAM Member Firms			
TAM-COC-Job1	2018	Captive offshore center job advert	Job advert for a position in the captive offshoring center of one of TAM's other member firms.
TAM-COC-Job2	2018	Captive offshore center job advert	Job advert for a position in the affiliated offshoring center of one of TAM's other member firms.
TAM-COC-Job3	2018	Captive offshore center job advert	Job advert for a position in the affiliated offshoring center of one of TAM's other member firms.
TAM-MID-Job	2020	Mid-office job advert.	Job advert for a manager in the mid-office of one of TAM's other member firms.
TAM-Profile	2020	Online profile of TAM	Online profile page of the global TAM network.
TAM-Report1	2008	TAM report on offshoring	Report on the drivers and risks of offshoring one of TAM's other member firms.
TAM-Report2	2013	TAM report on offshoring	Report on the benefits and challenges of offshoring one of TAM's other member firms.
TAM-Report3	2013	TAM report on offshoring	Report on the offshoring and education opportunities in India for one of TAM's other member firms.
TAM-Report4	2013	TAM report on offshoring	Report on the benefits and challenges of offshoring published by one of TAM's other member firms.
TAM-Report5	2018	TAM report on offshoring	Report on the impact of cloud services and automation on the development of offshoring by one of TAM's other member firms.
TAM-Report6	2013	TAM report on offshoring	Report on the future of auditing one of TAM's other member firms.
TAM-Report7	2014	TAM report on offshoring	Report on the rise of offshoring and suitable offshoring locations by one of TAM's other member firms.
TAM-Report8	2014	TAM report on offshoring	Report on the future of offshoring and shared services centers for one of TAM's other member firms.
The Professional Accounting Body (PAB) in EU-TAM's Home Country			
PAB1	2005	PAB article	Opinion piece on the benefits and challenges of offshoring financial accounting work.
PAB2	2005	PAB article	Article on the increasing popularity of offshoring audit work and the use of affiliated offshore centers.
PAB3	2007	PAB article	Article on the opportunities of offshoring audit work.
PAB4	2007	PAB article	Article on the popularity of offshoring within audit firms.
PAB5	2009	PAB article	Article on the experiences of audit firms with the offshoring of audit work.
PAB6	2010	PAB article	Article on the benefits and challenges of offshoring audit work.
PAB7	2011	PAB article	Article on the increasing popularity of offshoring within audit firms.
PAB8	2012	PAB article	Article on the effects of offshoring on the governance of onshore audit firms.
PAB9	2012	PAB article	Article on the effect of offshoring on the pyramid staffing model of audit firms.
PAB10	2012	PAB article	Article on the effect of competition among audit firms on audit quality.
PAB11	2012	PAB report	Report reflecting on current trends, including offshoring, in the audit profession.
PAB12	2017	PAB article	Article on the influence of technological advancements on the audit profession.
PAB13	2016	PAB article	Article on the influence of offshoring on the onshore job market for auditors.
PAB14	2009	PAB article	Opinion piece on the offshoring of audit work.
International Professional Accounting Bodies (IPABs)			
IPAB1	2010	IPAC article	Article on the benefits and challenges of offshoring audit work.
IPAB2	2012	IPAB report	Report on the benefits and challenges of outsourcing accounting work.
IPAB3	2015	IPAB report	Report on the influence of offshoring on the accounting profession.
IPAB4	2016	IPAB report	Report on the main drivers of change in the audit profession.
IPAB5	2015	IPAB report	Report on future proofing the audit profession.
IPAB6	2017	IPAB report	Research report on the offshoring of audit work funded by a professional accounting body.
IPAB7	2018	IPAB report	Report on the impact of technology on auditing.
IPAB8	2014	IPAB article	Article on audit quality inspections and offshoring audit work.

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APPENDIX A (continued)

Reference	Year	Source	Short Description
Other Big 4 Firms			
BIG4-Annual1	2014	Big 4 annual report	Annual report published by one of the other Big 4 firms covering the 2013-2014 financial year.
BIG4-Annual2	2019	Big 4 annual report	Annual report published by one of the other Big 4 firms covering the 2018-2019 financial year.
BIG4-Article1	2016	Newsletter article	A manager of one of the other Big 4 firm's equivalent of the mid-office reflecting on this interaction with offshore auditors in the firm's newsletter.
BIG4-Article2	2020	Newsletter article	Overview of the services provided by the captive offshore center of one of the other Big 4 firms.
BIG4-Profile1	2020	Online profile	Online profile page of the captive offshore center of one of the Big 4 firms in India.
BIG4-Profile2	2020	Online profile	Online profile page of the captive offshore center of one of the Big 4 firms in India.
BIG4-Trans1	2012	Big 4 transparency report	2011–2012 transparency report published by one of the other Big 4 firm to inform stakeholders about the strategy, governance structure, internal quality and control, ethical requirements, and human resource strategy of the firm.
BIG4-Trans2	2013	Big 4 transparency report	2012–2013 transparency report published by TAM to inform stakeholders about the strategy, governance structure, internal quality and control, ethical requirements, and human resource strategy of the firm.
BIG4-Trans3	2014	Big 4 transparency report	2013–2014 transparency report published by TAM to inform stakeholders about the strategy, governance structure, internal quality and control, ethical requirements, and human resource strategy of the firm.
BIG4-Trans4	2015	Big 4 transparency report	2014–2015 transparency report published by TAM to inform stakeholders about the strategy, governance structure, internal quality and control, ethical requirements, and human resource strategy of the firm.
BIG4-Trans5	2016	Big 4 transparency report	2015–2016 transparency report published by TAM to inform stakeholders about the strategy, governance structure, internal quality and control, ethical requirements, and human resource strategy of the firm.
BIG4-Trans6	2017	Big 4 transparency report	2016–2017 transparency report published by TAM to inform stakeholders about the strategy, governance structure, internal quality and control, ethical requirements, and human resource strategy of the firm.
BIG4-Trans7	2018	Big 4 transparency report	2017–2018 transparency report published by TAM to inform stakeholders about the strategy, governance structure, internal quality and control, ethical requirements, and human resource strategy of the firm.
BIG4-Video	2018	Video presentation	Short video produced by one of the other Big 4 firms outlining the offshoring of audit work and providing insight into their version of the mid-office.
BIG4-Report1	2014	Big 4 report on offshoring	Report published by one of the other Big 4 firms outlining the offshoring opportunities in India.
Business News			
BNEWS1	2004	Business news article	Article on the process of offshoring audit work.
BNEWS2	2012	Business news article	Article on the benefits of offshoring accounting work.
BNEWS3	2014	Business news article	Article on the consequences of offshoring audit work.
BNEWS4	2016	Business news article	Article on how technology is replacing offshoring.
BNEWS5	2016	Business news article	Article on the lack of transparency around the offshoring of accounting work.
BNEWS6	2016	Business news article	Article on the expansion of the activities of TAM's US member firm in India.
BNEWS7	2007	Business news article	Article on the offshoring of audit work.
BNEWS8	2015	Business news article	Article on the quality of offshored audit work.
BNEWS9	2009	Business news article	Article on the benefits and challenge of offshoring of audit work.
BNEWS10	2012	Business news article	Article on the concerns around offshoring audit work.
BNEWS11	2020	Business news article	Article on the expansion of captive offshore centers operated by Big 4 firms in India.
BNEWS12	2020	Business news article	Article on the expansion of captive offshore centers operated by Big 4 firms in India.
Blogs on Offshoring Audit Services			
BLOG1	2017	Online accounting blog	Discussion thread on the quality of audit work offshored to India by Big 4 firms.
BLOG2	2017	Online accounting blog	Discussion thread on the offshoring of audit work to India.

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